



IN THE AGE OF ROBOTS. Visitors at a stall at the India AI Impact Summit at Bharat Mandapam in New Delhi on Monday PT1



COOLING OFF. The summit's participants take a break for refreshments PT1

‘AI in defence must have the rationality of a human being’

MODERN WARFARE. Experts highlight that this is of prime concern when military decision-making is involved

S Ronendra Singh
New Delhi

As AI becomes relevant in defence applications, experts said it has the capacity to synthesise very large volumes of data, but on the flip side, it does not have a rationality of a human being. This is of prime concern when military decision-making is involved, they said.

Speaking at the *Sovereign AI for National Security: India's Path to Digital Sovereignty* session, Lt General Harsh Chibber, Director General Information Systems, Indian Army, said: “The current AI is based on inductive logic. It does not have that objective rationality of a human being, and that is of prime concern when military decision-making is involved, because military decisions are very costly, primarily because of the human cost.”



A GIANT LEAP. Akash Ambani, Chairman, Reliance Jio, showcases the company's AI-led transformation across healthcare, education, culture and smarthome solutions to Prime Minister Narendra Modi during the India AI Impact Summit in New Delhi on Monday

DEFENCE SYSTEMS

He said currently the defence systems have multi-sensor, multi data, multi source fusion, which is the only way to analyse data to reach a decision if they have an AI interface in between.

“So, in this kind of persistent surveillance, the key concern is sovereignty. I think if we have to trust a system in such a scenario, the risk is that we will fall into automation bias... There is a tendency of the human mind to trust automated output more than than your instinct. So, that automation becomes very threatening if we are not sure of the system we are implementing,” he

‘Our sovereignty depends on our capability to produce a superior algorithm, which is not only a defensive against an enemy’s cognitive offensive, but can also support our other military actions’

noted. Therefore, a persistent surveillance guided by AI is a must, he said.

Another point he raised

was that of AI in cognitive warfare. AI can build narratives very efficiently at lightning speed, and in a narrative warfare where cognition will play a very important role, a superior algorithm is required.

‘INDIA HAS AN EDGE’

“Our sovereignty depends on our capability to produce a superior algorithm, which is not only a defensive against an enemy’s cognitive offensive, but can also create a narrative which we can support our other military actions,” Lt Gen Chibber said.

“So, in this area of superior algorithm creation, I think we have an edge, and this enables the creation of a

military application capable of addressing emerging challenges,” he highlighted.

The third area is autonomous systems, and this is a cause of great worry because people are talking about how much of autonomy should be given to military applications. As far as autonomy is concerned, every military system becomes autonomous at a certain stage, he added.

Speaking on the same lines, Brijesh Singh, ADGP, Maharashtra, said that be it defence, government or the private sector, one should not go for any of these “AI wrappers because you cannot hand over the mind of your sovereignty to a system

that doesn’t understand you.”

“The way we own the digital public infrastructure in India, we will have to create a cognitive public infrastructure, however difficult it may be. That’s why the challenge feels visceral and existential; we simply have to do it, and probably it’s time that we do it. This is the architecture of independence. India has no dearth of experts or talent — the only challenge is compute,” he said.

“Geopolitically, this must be addressed because GPUs are being used to control geopolitics, and that is why we must ensure sovereignty across all layers of the cake,” he added.

‘Accountability of agritech cos in issuing advisories a big challenge’

Prabhudatta Mishra
New Delhi

Lauding the role of artificial intelligence (AI) in agriculture, particularly in improving the yield of crops and the income of farmers, experts have expressed concerns over the quality of advisories as the sector is not regulated and suggested that standards be developed.

Addressing a session on *Standards and Policy Pathways for Scaling AI-Enabled, Farmer-Centric Agrifood Systems* in New Delhi, Santanu Chaudhary, former Director of IIT-Jodhpur, said: “If AI is driving public decision-making regarding agriculture and agricultural advice, who will be accountable regarding the quality of the advice? This is fundamentally important because it impacts the livelihoods of many farmers.”

“If AI is driving public decision-making regarding agriculture and agricultural advice, who will be accountable regarding the quality of the advice? This is fundamentally important because it impacts livelihoods of many farmers

SANTANU CHAUDHARY
Former Director of IIT-Jodhpur



other unethical interventions, he said.

AI MODELS

As AI now comes in models, there has to be a process to register the models, he noted. “A registration should have a process and protocol defined. In the absence of any protocol, if one says that its AI ensures 99 per cent accuracy, it doesn’t mean anything because that is with respect to the data collected and how general the performance is across multiple stakeholders, multiple scenarios,” he said.

PROBLEM OF DRIFT

Since farm land in India is fragmented, the soil’s property varies depending on the land’s usage history. As a result, AI models that make predictions based on land data may experience drift when applied from one plot to another, said Chaudhary.

Highlighting that International Telecommunication Union (ITU) has a very robust standardisation on digital agriculture and standards, ITU’s Atusko Okuda said it has over 200 AI-re-

lated standards that are already approved and 200 more are in the pipeline.

DIGITAL AGRI

She also said these standards are critical for the democratisation of AI in digital agriculture because not all countries are equipped to start from zero.

“So, when you have standards, it is easier for countries to kickstart from where the standard ends,” she said, adding that the ITU has also standards for very specific areas of agriculture, such as smart livestock farming, based on IoT.

Raghu Chalganti, of Fraunhofer HHI, said India has a large number of small farmers at about 130 million, and reaching them is a major challenge.

“How to bring the innovations and this AI technology to their doorsteps? Farmers want input cost to reduce and production to increase and better price for the produce,” he said, adding that AI is being promoted as a solution that could minimise the input cost and maximise productivity.

‘Encourage children to be creators, not just consumers of AI’

Global leaders must promote AI while protecting children, say experts

Sindhu Hariharan
New Delhi

India’s AI framework and guardrails should ensure that Indian children are not just users of AI but also creators of it, said Ajay Kumar Sood, Principal Scientific Adviser to the Government of India, at the AI Impact Summit on Monday.

Speaking as part of the panel on *AI and Children: Turning Principles into Practice for Safe, Inclusive, and Empowering AI*, Sood noted that it was the policymakers’ responsibility to ensure that children are protected from AI while benefiting from it.

“We do not have data around AI usage by children in India yet, and we still do not know the full impact of growing up with AI companions, but more inputs are needed to see how it impacts mental health and

education over time,” he said. “Right from a young age, children should be involved in not just using AI but also being creators. This can be achieved by integrating AI literacy into school curricula; the good news is that there is a definitive strong attempt by the Ministry of Education to bring AI in school curricula,” he said.

Meity Secretary S Krishnan said the summit itself is an event meant for India’s next generation to help create more awareness of the technology for them.

“This will help countries of the Global South to really move up in the development chain,” he said.

UNICEF India representative Cynthia McCaffrey urged and encouraged global leaders coming together on February 19 and 20 for the declaration that they should commit to promoting AI and protecting

children and young people.

May-Elin Stener, Ambassador of Norway to India, Sri Lanka, Bhutan and the Maldives, who was a part of the panel, shared some worrying statistics on technology use by Norwegian children.

“Ninety five per cent of Norwegian children aged 9 to 11 have their own mobile phones — that’s up from 85 per cent 10 years ago,” she said. “Almost half of the children in the 13 to 14 age group have seen scary or violent images or videos at least once in the past year. So, this is really quite worrying,” she said.

RAISING GDPR AGE

Speaking of a few solutions being contemplated by Norway, she said the country is discussing higher minimum age for social media use and also considering raising the GDPR age of consent up to 15 years of

age. “We are also looking at measurements to remove mobile phones from schools,” she said.

CHILD ABUSE

Sanjeev Sharma of the National Commission for Protection of Child Rights (NCPCR) said despite all the good being achieved by AI, child sexual abuse material is among the most worrying.

“In 2024 alone, we had more than 64,000 cases of child sexual abuse material being generated in the country. What we are doing is we are developing an AI-based tool, which we will be able to actually deploy and proactively find out which are the social media platforms and Internet platforms that are being used for circulating such material,” he said. “We are also planning to use AI tools in our tele-therapy lines for mental health,” he added.

India has strong innovation momentum, but more needs to be done on skilling front: UNESCO report

Our Bureau
New Delhi

India has a hybrid AI governance framework involving multiple stakeholders and a strong momentum on multi-lingual AI, but the quality of data is still evolving and needs to be improved, said Unesco’s AI Readiness Assessment report on India.

Developed by Unesco in partnership with the IndiaAI Mission, the report examines India’s current ethical AI landscape and preparedness and offers recommendations. The report, released at the AI Impact Summit on Monday, assessed India’s AI ecosystem under various dimensions — legal & regulatory, social & cultural and technical aspects.



PICKING UP PACE. Visitors explore an AI-enabled automotive prototype at the summit

SOLID TALENT POOL

While acknowledging the strong innovation ecosystem of the country in the form of patents and talent pool for AI, the report cautions against “overly prescriptive regulations”, and recommends greater Centre-State

alignment while regulating AI. There is room for improvement in integrating AI into curricula, and AI skilling remains urban-centric and surface level, it noted.

“India’s AI future should not be just shaped by what it builds, but how it is built, who it benefits, and what kind of safeguards can help its growth,” said Tim Curtis, the Unesco representative in India, at the launch of the re-

port. The country needs an AI that listens before it decides, he said.

Secretary of the Ministry of Electronics and Information Technology (MeitY) S Krishnan and Principal Scientific Advisor Ajay Kumar Sood said India’s approach to AI development is to make a collaborative effort involving both public and private sectors.

“The report gives us im-

petus to continue doing what we are doing in India, and its recommendations can be a playbook for India and the larger Global South,” said Krishnan on Monday.

FOCUS AREAS

Sood said the government has three key focus areas when it comes to AI. It should work for all of India, irrespective of the socio-economic background; it should be culturally sensitive; and is should be developed in a collaborative manner, he added.

Aligned with Unesco’s recommendation on the Ethics of AI, the report follows the outcomes of a nationwide series of regional consultations, conducted in partnership with the IndiaAI Mission and MeitY.

businessline.

Disclaimer: Readers are requested to verify & make appropriate enquiries to satisfy themselves about the veracity of an advertisement before responding to any published in this newspaper. THG PUBLISHING PVT LTD., the Publisher & Owner of this newspaper, does not vouch for the authenticity of any advertisement or advertiser or for any of the advertiser’s products and/or services. In no event can the Owner, Publisher, Printer, Editor, Director/s, Employees of this newspaper/company be held responsible/liable in any manner whatsoever for any claims and/or damages for advertisements in this newspaper.

‘India seeking consensus, techno-legal solutions for AI copyright framework’

POLICY PUSH. Govt to launch Create in India Mission; OTTs must follow local legal frameworks: Ashwini Vaishnaw

Meenakshi Verma Ambwani
New Delhi

India is seeking to achieve a global consensus to ensure AI does not infringe on the copyrights of content creators, Union Minister for Electronics & IT, Railways and I&B, Ashwini Vaishnaw said on Monday. He added that techo-legal solutions will be required to strike a balance between innovation and IP. He also said that India will be launching a “Create in India Mission” soon. The Minister was speaking at a fireside chat with Motion Picture Association CEO and Chairman Charles Rivkin at an event organised by FICCI as part of the India-AI Impact Summit.

COPYRIGHT BALANCE “Given that the challenges between AI and copyright are very complex, we are in this summit looking at some sort of consensus on this. If the creators get a chance to deploy their skills, protect their copyrights, protect the fruits of their creative energy, then the growth of the



TECH DIALOGUE. IT Minister Ashwini Vaishnaw at a fireside chat with Motion Picture Association CEO and Chairman Charles Rivkin at an event organised by FICCI at the India-AI Impact Summit

creative industry between today and tomorrow will be very high,” Vaishnaw stated. He noted that the foundational models are trained using the knowledge available in the public sphere, including books, periodicals, journals and films. “For a right balance between IP and innovation, would a simple regulation do that? Probably not. Our understanding so far is that for such complex problems, we have to have techno-legal solutions. We are very

closely engaged with the industry to find out the right technical and legal structures for this. And this is something which will have to be taken up at a global level. This will require consensus-building across different countries,” Vaishnaw noted. **TRUST SAFEGUARDS** He stressed that AI should have a complementing effect on human creativity, job creation, and talent pipeline. With regards to the challenges emerging from the

spread of misinformation and deep fakes, he said that all the stakeholders, including social media platforms, AI models and content creators, will need to take the responsibility to ensure new technology strengthens trust, not breaks it. He added that this issue, too, will require technical and legal solutions and that there have been discussions with more than 20 countries on this issue. Referring to the recent Budget announcement of the

creation of content creator labs in schools and colleges, the Minister said these will be spread across the country. He added the government has a strong focus on reskilling, upskilling and building a talent pipeline for the future. “We will be launching the ‘Create in India’ mission very soon, like the Semiconductor Mission. It will be a very industry-oriented, employment-oriented and very future-oriented mission. It will create a future-ready talent pipeline,” the Minister added.

CONTENT RESPONSIBILITY Speaking on the responsibility of global OTT players, Vaishnaw said, “It is very easy for OTT platforms to forget cultural context. Cultural context is very important. What is normal in one society may not be normal in another society. Global platforms must be aware of the cultural context of the country they are operating in and work in accordance with the Constitution and legal framework of that country, and not the parent country.”

AI and media: Fair share pacts and transparency are critical

Our Bureau
New Delhi



LV Navaneeth, CEO, The Hindu Group, speaking at the summit

Amid rapidly growing adoption of AI, media organisations and newsrooms across the globe are examining ways for responsible AI integration for innovation, efficiency and audience engagement. At the same time, there are evolving dynamics concerning trust, transparency and long-term sustainability. Fair share agreements, attribution and traceability have also emerged as critical issues for the media industry. LV Navaneeth, CEO, The Hindu Group, stressed that there is a need to find the right revenue models and fair share revenue agreements between big tech platforms and media organisations. He was speaking at a panel discussion at the AI Impact Summit on Monday.

AI IN NEWSROOM Talking about the use of AI in newsrooms, he said, “I think the big differentiator when it comes to media is that trust is not generated by technology, it is produced by institutions and that is where you draw the line. There are multiple ways to use AI to increase engagement, stickiness and retention. In terms of subscription revenues, we

are able to use AI to build propensity models and to increase retention.” “One of the biggest use cases that we effectively use it for is... if you are making sense of what’s happening today, using the context of yesterday, and painting a picture of the implications of the choices we make as a society. So we have built a model that doesn’t hallucinate, because that model’s resources are our own archival material. As one is writing a story, it generates content from the past, offers context and relevance, and a journalist can choose to take that, summarise that, and add context, so that increases stickiness,” he added. Meanwhile, speaking at the panel discussion, India Today Group Vice-Chairperson and Executive Editor-in-Chief Kalli Purie stated, “We do not use AI to create stor-

ies. We call it the AI sandwich. It starts with a human, may use AI in the process, and ends with a human.” She stressed it is critical to ensure journalistic content gets fair value, which is used in AI systems and that there should be attribution and traceability. Purie also pointed out that it is important to put real value on verified content and penalise AI hallucination severely.

MEDIA RESPONSIBILITY At the same time, Navaneeth pointed out that just as legacy media is responsible for the content it puts out, platforms should also be held to the same high standards. He said it is also important to raise awareness among consumers so they demand accuracy measures, attribution and AI labels on content. “It is important for the industry to find the right revenue models and fair share revenue agreements to ensure journalism is a force for the greater good. My wish, as somebody who is involved in the business of news and has the privilege of working with an extraordinarily respected organisation, is to ensure that I am always in a position to prioritise long-term trust over short-term efficiency and productivity,” he added.

French start-up Brad Technology scouting for Indian partner in agritech

Prabhudatta Mishra
New Delhi



AI BLOOMS. The French start-up has covered 10,000 hectares in France and started a pilot in 50 acres in Morocco

Brad Technology, a French start-up in agritech, is at the AI impact summit on Monday in search of an Indian partner so that it can open up its venture in farm advisories, an area which the company thinks has immense potential despite small land holdings, which is considered a bottleneck for farmers to spend on technology. Speaking to *businessline*, Brad Technology’s CEO Olivier Lepine said that it is developing an IoT solution to collect data in the soil and air of the plot, which is very low-cost, dedicated to the global south. **FARMER SUPPORT** Lepine said that his start-up is trying to address agricultural concerns with technology, trying to source the best technology, especially for small farmers. “We want to help them figure out how to produce in an uncertain time with climate change, with a very difficult and uncertain outcome,” he added. Whether AI will replace agronomists, he said, “With this data, we trigger a vocal

AI, so an agent, an agronomist is able to help farmers figure out what is happening in their field and take the right decision.” Asked, there are certain agri-tech companies in India already started this, but the cost is a deterrent to scale up, he said there is a place for every body. “We have a different vision about that. Our motto is ground truth, global vision. We want to help the farmer finance this part of the usage of IoT and AI because it’s way too expensive now for small farmers,” he added. Lepine said this data is not only helpful for farmers to improve their resilience, but it is also useful to the government and the food industry to find out what is

happening on the ground. Asked if there is any solution to reduce the cost, he said “massification” is the best solution and one needs to address the farmer’s revenue to propose the right solution, which Brad Technology does. Currently, the French start-up has covered 10,000 hectares in France and started a pilot in 50 acres of land in Morocco. “We work in a *jugaad* approach, very low cost (about \$100 per year subscription model), very low tech, but it needs to do the job. So we welcome any collaboration with Indian agritech startups,” Lepine said, adding that partners in India will be helpful to provide a proven solution.

Heavy footfalls, packed halls, long queues mark Day 1

Sindhu Hariharan
New Delhi



HUGE TURNOUT. Visitors at the India AI Impact Summit 2026 at Bharat Mandapam in New Delhi on Monday

The trek from the entrance to the exhibit halls and panel discussions at Bharat Mandapam was so long and lined with various queues that even the exhibit managers and speakers at the event were stuck. Further, many areas of the venue were cordoned off, starting from 2 pm, for security arrangements for the Prime Minister’s visit. “9 AM entry, 12 PM full evacuation, Hours of sanitisation, PM visit at 5 PM, and day 1 ends here,” Punit Jain, an entrepreneur who made his way to the event, said in a social media post. “Meanwhile, exhibitors, delegates and start-up founders left outside,” he added. Others also took to social media to share how they could not network or listen to the talks as there were no clear signboards or instructions to navigate the area. **PACKED VENUE** While the organisers announced that entry to the Summit and the exhibition halls would have some restrictions on the first day (February 16) due to the plans around the inauguration by the Prime Minister, the event saw over 2 lakh

participants register, and many of them also visited. Added to this, the event is spread across more than 10 halls of Bharat Mandapam, with agencies pegging the total area to be more than 70,000 sq m. Global technology firms, start-ups, academia, research institutions and government representatives are all among the participants of the mega event. This trans-

lated into long queues to enter each room where panel discussions were being held, and crowded walkways as a result. The rush was also visible at various food courts spread across the venue. Many who braved the long lines at the food counters were disappointed to note that some of these did not accept digital payments or cards, and they had to shell out cash.

STRONG RESPONSE Secretary of the Ministry of Electronics and Information Technology S Krishnan on Monday told media agencies that over 2.5 lakh participants from across India and around the world had registered for the ongoing India Impact AI Summit 2026, exceeding expectations. He called the response unprecedented and said it reflected the enthusiasm of the

country for the technology. “We’ve tried to make all the arrangements that we can. We never anticipated that there would be so many people willing to attend, which is why we did not restrict the registrations. So on all the days except the 19th, all are welcome to attend the various sessions that are going on,” he told media agency ANI in an interview.

Delhi summit ‘important moment’ to unlock full benefits of AI, says UK Deputy PM

Press Trust of India
London

ards that protect us all,” said Lammy. **NATURAL PARTNERS** The Department for Science, Innovation and Technology (DSIT) said India and Britain were “natural tech partners”, with software giants like Infosys, Tata Consultancy Services (TCS) and Wipro expanding their operations across the UK. “AI is the defining technology of our generation, and we’re determined to make sure it delivers for everyone,” said Narayan, the first Indian-origin MP from Wales. “It can cut waiting times, transform public services, create new jobs and give hard-working communities a fresh start — and that’s exactly the message we’re taking to the summit. It is central to our plans for delivering national renewal, but its benefits can’t and shouldn’t be reserved for the few,” he said. The AI Minister said the UK is “leading from the front, pushing a global vision for AI that helps people everywhere to learn more,



David Lammy, UK Deputy PM

earn more, and shape the future on their terms.” “We are totally aligned in making sure that the people of Britain and the people of India get to not just look at AI being built by others but build AI and benefit from AI directly,” he said. Besides Delhi, Narayan will also travel to Bengaluru to explore how India and the UK are working together to reap the benefits of breakthrough tech. Both countries are investing tens of millions in cutting-edge research — from better batteries and next-generation telecoms for rural communities, to genomic medicine that could tackle rare diseases, the

DSIT said. India is also a vitally important market for British businesses generally, with UK firms generating more than £47.5 billion in revenue from their business in India, it stated. During the AI Impact Summit, the UK is expected to announce new support for an African Language Hub, enabling AI to work in 40 African languages with the aim of making the technology more inclusive and accessible for millions. This will be one of three new initiatives being announced as part of the more than £100 million AI for Development (AI4D) programme, created to ensure that developing countries benefit fully from the AI revolution. The Asian AI4D Observatory will be geared towards supporting responsible AI innovation and governance across South and Southeast Asia, and the AI4D Compute Hub at the University of Cape Town will give African innovators the compute power they need to turn ideas into impact.



KERALA INFRASTRUCTURE INVESTMENT FUND BOARD
(A Statutory Body under Finance Department, Government of Kerala)
Finance and Administration Division
website: www.kiifb.org

Defining the Future

STATEMENT OF UNAUDITED STANDALONE FINANCIAL RESULTS FOR THE QUARTER ENDED DECEMBER 31, 2025

The Unaudited Standalone Financial Results of KIIFB for the Quarter ended December 31, 2025 (Financial Results) have been reviewed and recommended by the Audit Committee and were approved by the Board Members at their meetings held on February 13, 2026.

The Financial Results along with the Limited Review Report are available on the website of KIIFB under Compliance Tab at: <https://www.kiifb.org/resources.jsp> and on the website of BSE at: www.bseindia.com.

The same can also be accessed by scanning the Quick Response Code (QR Code) as provided below:



For Kerala Infrastructure Investment Fund Board

Sd/-

Dr. K M Abraham, CFA

Chief Executive Officer

Place: Trivandrum

Date: 13.02.2026

2nd Floor, Felicity Square, M.G.Road, Statue Thiruvananthapuram – 695001

Phone: 0471-2780900 to 914 e-mail: financeadmin@kiifb.org

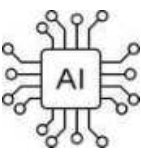


A CH-CE

IT’s opaque

IT companies should disclose AI impact

For the top four players in the Indian IT services industry, the last three years have been among the worst in over three decades. Impact on stakeholders like employees and others in the ecosystem apart, it has also been a challenging time for shareholders. In the last one year alone the shares of TCS, Infosys, HCL Technologies and Wipro are down by around 31, 26, 14 and 30 per cent, respectively, reflecting fears of AI disruption.



Yet managements’ communication to stakeholders has been poor at best and misleading at worst. The press releases and analyst conference calls of most IT services companies present a positive picture. Any acknowledgment of AI driven disruption has been scant. The communication is loaded with adjectives like ‘stellar results’, ‘strong performance’, ‘resilient execution’, ‘differentiated value propositions in enterprise AP’. But the numbers reflect the contrary. Three years of weak numbers is long enough for everyone to believe them over statements. As a result of this divergence, a trust deficit has come into being — one between what managements say, and what other stakeholders interpret. But now the moment of truth is near at hand. There has been a global run on IT stocks in the last two weeks following the launch of multiple AI tools by Anthropic. Since these can automate many white collar tasks, they have also starkly shown up how disruptive AI could turn out to be. This has been underplayed so far. Indian IT CXOs must respond to the situation by being open about their IT services business model. It really matters to employees, investors, policymakers and the broader ecosystem.

Over the last two weeks stakeholders have been bombarded with divergent views from industry experts, analysts and others — some saying the Indian IT industry will adapt as they have in the past, and others quite the contrary. It can be said in favour of the first lot that the cloud/digital disruption that upended the legacy business model of IT services firms (FY16 to end of FY18) was successfully overcome. This time, it is three years since the AI disruption began to unfold, yet the industry is mired in difficulty. During the cloud disruption, the top four players actually increased their headcount by 18 per cent to nearly 8.8 lakh employees. In the last three years it is marginally down at around minus 3 per cent to 14.33 lakh employees. This may be the tip of the iceberg. More AI disruption could mean uncertainty for employees and graduates entering the workforce.

So, this is not the time for frantic optimism. Let us not forget how the great handset companies of the past bit the dust on the arrival of the iPhone in 2007, even as their initial response was sanguine. Today, while companies talk about AI business they do not disclose the numbers. To give just one example, TCS has said that its annualised AI revenue was \$1.8 billion as of end Q3FY26. This represents a mere 6 per cent of its revenue. The question of how non-AI business will be impacted remains unaddressed. All stakeholders — employees, investors, graduates, universities coming to grips with curriculum — need more transparent communication from IT CXOs.

OTHER VOICES.

TheObserver

Save our students: The debt trap must be fixed

In the early 1990s, fewer than one in five school leavers in England and Wales went on to higher education. Now about half do. In the interim, Labour, coalition and Conservative governments introduced fees and loans to expand access to universities and create a new way of funding them. At first it worked. Not any more. Nearly 6 million graduates are burdened with loans whose interest rates hit middle earners hardest. For two-thirds of this group, their student debt is rising faster than they can pay it off. Two million more graduates are on a new scheme with lower interest rates but a longer and more regressive repayment schedule. These loans represent income for universities, but not enough. Half are in deficit, laying off lecturers and struggling to maintain standards. (LONDON, FEBRUARY 15)

讀賣新聞

THE YOMIURI SHIMBUN

Revitalise shipbuilding through tech innovation

Can Japan’s shipbuilding industry launch a counteroffensive and regain its position, having been overshadowed by Chinese and South Korean competitors? Japan must chart a path to revival as a major shipbuilding nation with technological innovation. Prime Minister Sanae Takaichi intends to advance strategic investments that enhance resilience against potential crises under “responsible and proactive public finances” and views shipbuilding as a key sector. To revitalise Japan’s shipbuilding industry, the government late last year formulated a roadmap through 2035. It set a target to boost annual shipbuilding output to 18 million gross tonnes by doubling the 2024 level. The government will establish a fund of about ¥350 billion and proceed with public-private investments totaling ¥1 trillion. (TOKYO, FEBRUARY 16)

Digital capex has a huge multiplier

UNDERSTATED. While the returns on Digital Public Infrastructure are huge, these are not captured in the Budget



RAVI POKHARNA
KUNTALA KARKUN

As Finance Minister Nirmala Sitharaman unveiled Budget 2026-27, public debate gravitated to the usual markers: capital expenditure (capex) scaled up to ₹12.2 lakh crore, fiscal deficit pegged at 4.3 per cent of GDP, and renewed emphasis on manufacturing. Yet amid these headlines, India’s most productive public investment of the last decade continued to slip through the accounting cracks.

This investment does not appear as a highway, semiconductor fab, or industrial corridor. It exists instead in code, standards, and interoperable platforms. Collectively described as Digital Public Infrastructure (DPI), this ‘invisible steel’ has become a core driver of India’s economic velocity.

Budget 2026 marks a clear turn towards technology-led growth, with policy attention and funding flowing to semiconductors, AI data centres, electronics manufacturing and cloud services. But DPI, the infrastructure that binds this ecosystem together — the rails that let chips power applications, AI reach the last citizen, and manufacturing capacity generate economy-wide gains — continues to remain fragmented.

REFRAMING CAPEX

In the industrial age, general-purpose infrastructure meant roads, power plants, and ports. These assets were characterised by high upfront costs and linear returns. In the digital age, however, identity (Aadhaar), payments (UPI), and data rails (account aggregator) function as the new highways. The economics, however, are fundamentally different. Traditional infrastructure faces capacity constraints and physical depreciation. DPI exhibits increasing returns to scale: the billionth UPI transaction costs almost nothing to process, yet its spillover benefits for a small merchant in a Tier-3 town can be transformative. Unlike a bridge that serves only those who cross it, digital infrastructure creates a foundation upon which infinite layers of private innovation can be built.

The data backing the DPI-led transformation is no longer just anecdotal; it is structural. According to



STRATEGIC ASSET. India needs a medium-term DPI investment framework istock

World Bank estimates, India achieved in just nine years a level of financial inclusion that would have typically taken 47 years without its digital commons.

The scale and velocity of payments illustrate this shift. In FY 2024-25, UPI processed 186 billion transactions with a total value of ₹261 trillion, accounting for almost half of global real-time payments and sharply reducing the cost of commerce for MSMEs. By January 2026, UPI had reached a record ₹28.33 lakh crore in monthly transaction value, cementing its position as the world’s largest real-time payments platform by volume (NPCI).

Welfare delivery has seen comparable gains: through the Direct Benefit Transfer (DBT) mechanism powered by the Aadhaar-linked ‘JAM’ trinity, the government has cumulative savings of around ₹3.5 trillion by eliminating leakages and “ghost” beneficiaries (Ministry of Finance, April 2025).

On the credit side, platforms such as the Open Network for Digital Commerce (ONDC) and Open Credit Enablement Network (OCEN) are currently reducing customer acquisition costs for small lenders by 30-40 per cent, allowing credit to flow to previously “unbankable” segments (RBI, ISPIRT).

Taken together, the multiplier effect is striking. Government spending on core ‘India Stack’ components was less than \$2 billion over a decade, yet it has facilitated a digital economy now valued at over \$350 billion (RBI, World Bank).

Government spending on core ‘India Stack’ components was less than \$2 billion over a decade, yet it has facilitated a digital economy now valued at over \$350 billion

DPI versus physical infrastructure

Feature	National Highway Programme (physical)	India Stack / DPI (digital)
Primary goal	Physical connectivity	Economic inclusion and velocity
Capital intensity	Extremely high	Low (initial code and standards)
Marginal cost	Increases with wear and tear	Decreases towards zero
Maintenance	Physical repair and labour	Software updates and cybersecurity

Few public investments, physical or digital, exhibit this order of magnitude in return.

Given these outcomes, why does DPI barely register in Budget debates? First, fragmentation. DPI spending is scattered across ministries, regulators, and statutory bodies. Aadhaar sits with MeitY, UPI infrastructure flows through RBI and NPCI, account aggregators are embedded in financial regulation, and platforms like CoWIN were funded as one-off pandemic response spending. No single budget head captures DPI as national infrastructure.

Second, diffused returns. When UPI reduces costs for merchants or Aadhaar enables faster credit disbursement, the economic gains accrue across sectors; not to the sponsoring department. Traditional budget accounting does not recognise such spillovers.

Finally, timing asymmetry. DPI development costs are front-loaded into a few budget cycles, while savings from reduced leakages, lower transaction costs, and private innovation compound

Coconut sector gets a policy boost

From replanting to processing, the initiatives in the Budget will link farms, processing units and global markets

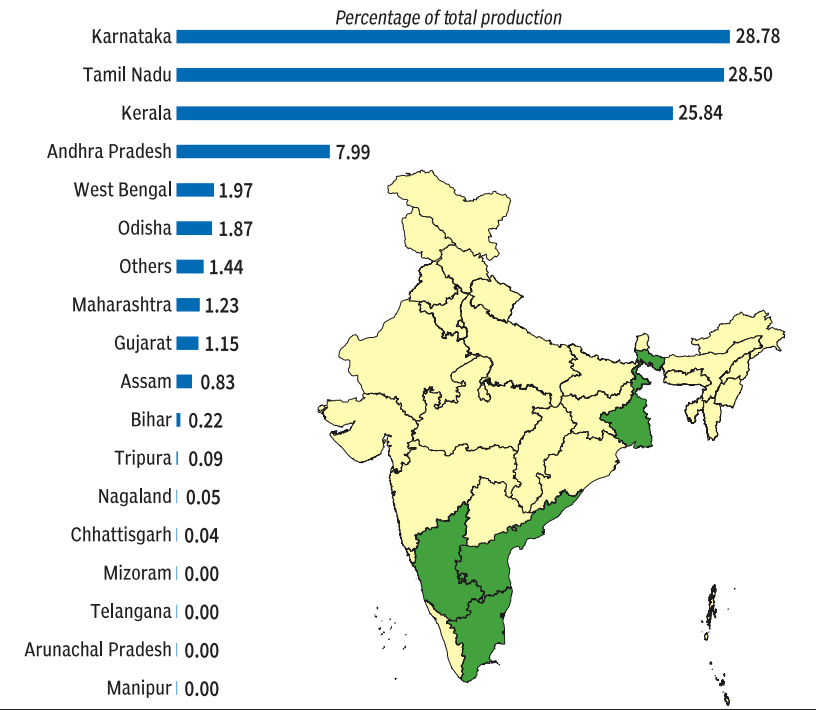
Dona Ghosh

The coconut sector is entering the new financial year with renewed confidence. Signals from Budget 2026-27 suggest that the industry is finally getting sustained policy attention. Coconut has been identified as a priority high-value agricultural crop. The objective is direct: (a) improve productivity; (b) raise farmer incomes; and (c) build a sustainable and competitive value chain.

A major announcement in the Budget is the Coconut Promotion Scheme, unveiled on February 1. The scheme focuses on replacing old and unproductive coconut trees with high-yielding varieties. In many coconut-growing regions, ageing palms have led to stagnant output and rising costs. Rejuvenation is therefore expected to deliver quick productivity gains over the medium term. Farmers can receive financial assistance of around ₹37,500 per hectare for cultivation improvements. Additional subsidies cover up to 50 per cent of costs for pest and nutrient management.

Production data highlight a strong regional concentration. Karnataka, Tamil Nadu and Kerala together account for more than 80 per cent of India’s coconut output (see Figure). Andhra Pradesh and West Bengal are also key contributors. The green-shaded States (Andhra Pradesh, Karnataka, Tamil Nadu, West Bengal) record productivity

Coconut production status across States



Note: Percentages are calculated by the author. Productivity of green shaded states (Andhra Pradesh, Karnataka, Tamil Nadu, West Bengal) is more than country-level productivity. Source: International Coconut Community (ICC) Statistical Yearbook 2021

levels higher than the national average. Higher productivity means faster income gains. It also strengthens India’s position in global coconut markets. So, these four States can gain clear advantage in benefiting from the

replanting and technology support announced in the Budget.

VALUE ADDITION

Beyond cultivation, the Budget places strong emphasis on processing and

over decades. The result is a systematic undervaluation of DPI in fiscal decision-making.

‘DIGITAL FIRST’ FISCAL STRATEGY

While Budget 2026 signals intent, the next phase must focus on institutionalising DPI as infrastructure.

The first step is classification. DPI should be explicitly recognised as capital expenditure, not subsumed under routine IT or administrative heads. Create a dedicated ‘Digital Infrastructure’ head within the Capital Budget, consolidating all spending on identity, payments, data rails, and interoperable platforms.

Second, India needs a medium-term DPI investment framework spanning five to seven years, anchored in outcome metrics rather than inputs. Transaction volumes, cost reductions, inclusion indicators, private innovation signals, and cross-border adoption should be tracked with the same rigour applied to highways or airports. The Economic Survey 2025-26 made this case explicitly, emphasising India’s DPI as the foundation for AI and cloud infrastructure, noting that “digital infrastructure is now strategic national infrastructure.”

Third, sustainability must replace novelty. As DPI becomes mission-critical, underinvestment in resilience and cybersecurity becomes a macroeconomic risk. Budgeting must reflect the cost of maintaining national digital rails at scale.

Finally, Centre-State coordination can be better. Budget 2026 rightly emphasises cooperative federalism, but digital duplication remains common. Incentivising States to integrate with national rails rather than recreate them would deliver higher returns per rupee spent. None of this diminishes the importance of physical infrastructure. Digital rails cannot substitute for roads, power, or connectivity. But they dramatically raise the productivity of every rupee spent on them.

India will, and must, keep building physical infrastructure. But the next decade’s productivity gains will increasingly come from reducing friction, not just adding assets. DPI is India’s highest-leverage mechanism for doing that. Future Budgets should stop treating it as an accounting footnote and start recognising it for what it is: the country’s most powerful capex multiplier, a bedrock of the Viksit Bharat ambition.

The writers are, respectively, Executive Director, and Senior Visiting Fellow, at Pahle India Foundation

value addition. Subsidies of up to 33.3 per cent, capped at ₹50 lakh, are available for setting up units producing virgin coconut oil, desiccated coconut powder and tender coconut water.

Demand for these products continues to rise, driven by health awareness and export opportunities. The policy support is expected to attract new private investment into the sector.

In addition, the coir industry has received focused support through the Mahila Coir Yojana. Rural women artisans are eligible for a 75 per cent subsidy on motorised equipment, along with training assistance. New coir production and processing units will also receive infrastructure support. This is likely to improve scale, quality and market access.

OUTLOOK FOR FY27

Taken together, the Budget measures point to a clear shift in approach. Coconut is no longer seen only as a plantation crop. It is being positioned as a full agro-industrial ecosystem linking farms, processing units and global markets.

For farmers, processors and rural entrepreneurs, FY 2026-27 presents a strong growth opportunity. For the broader economy, the coconut sector could quietly emerge as a steady and resilient contributor in the year ahead.

The writer is Assistant Professor of Economics, Thiagarajar School of Management, and is empanelled with SEBI as a Security Market Trainer

LETTERS TO EDITOR

Send your letters by email to bleditor@thehindu.co.in or by post to ‘Letters to the Editor’, The Hindu Business Line, Kasturi Buildings, 859-860, Anna Salai, Chennai 600002.

Deposit mobilisation

This refers to ‘Bank health check beyond CD ratio’ (February 16). The credit-deposit (CD) ratio alone cannot be treated as a reliable health check of banks. While it reflects the proportion of deposits deployed as loans, it does not capture liquidity resilience and other vital parameters. Going forward, deposit mobilisation is set to become increasingly challenging as banks face stiff competition from mutual funds and the bond market. Since now risk-based deposit insurance premium norms are introduced by

RBI, banks with higher risk profiles may face increased insurance costs. Although these premiums are paid by banks and not directly charged to depositors, competitive pressures could influence pricing strategies and margins. In this evolving landscape, it is time to seriously consider abolishing the Cash Reserve Ratio (CRR) as it locks up a portion of deposits without earning returns, thereby constraining banks’ lending capacity and competitiveness. Srinivasan Velamur Chennai

Monitor riskier assets

Apropos ‘InvIT with care’ (February 16), the editorial rightly underlines the need to keep investor interest at the centre of reforms relating to REITs and InvITs. While easing norms may deepen the market and improve liquidity, the risks from higher leverage and exposure to greenfield projects cannot be ignored. Retail investors, in particular, may not fully appreciate these risks. Regulatory changes should therefore proceed gradually, with clear caps on borrowing and strict disclosure standards. Any expansion into riskier

assets must be matched by stronger monitoring and transparent reporting of cash flows. SM Jeeva Chennai

Domestic resilience

Apropos ‘New global order and economics’ (February 16), the article raises an important concern about how economics must respond to a fragmented and uncertain world. If the rules-based order is weakening, policy thinking cannot remain anchored in old assumptions of stability and free flows. Yet, a drift

towards narrow national interest alone may deepen volatility. What is needed is a balanced approach. Policymakers should strengthen domestic resilience through diversified trade partnerships, robust supply chains and prudent fiscal management.

A Myilsami

Coimbatore

Corrigendum

The Pocket cartoon by Ravikanth published on February 14 was a repeat of the one that appeared on February 6. The error is regretted.

QUICKLY.

NHAI plans ₹5,700 crore
Infra Trust IPO in March



The National Highways Authority of India is preparing to launch an initial public offering of its infrastructure investment trust, which could raise ₹5,700 crore (\$629 million), as soon as next month, according to people familiar with the matter. Raajmarg Infra Investment Trust has started meeting prospective investors and is likely to begin the share sale in the first half of March, the people said. Deliberations are ongoing and details including the size and timing of the IPO could change, the people said. A spokesperson for Raajmarg didn't respond to requests for comment. Proceeds will be used to provide debt or equity funding to the project's special purpose vehicle, according to the IPO prospectus. **BLOOMBERG**

Motilal Oswal Alternates
raises ₹8,500 cr PE fund

Mumbai: Motilal Oswal Alternates on Monday announced raising ₹8,500 crore from private equity investors, and the fund will be deployed as growth capital across companies. The fund witnessed strong participation from both global and domestic investors, surpassing its initial target of ₹6,500 crore and completing the process within 10 months from the fund launch in mid-April 2025. “Motilal Oswal Alternates is pleased to announce equity the final close of its fifth private fund, India Business Excellence Fund V, at its hard cap in February 2026, making it the largest in the firm's private equity history,” the company said in a release. **rn**

Brokers to move RBI on capital market norms

PINCHING THE PURSE. Cost set to rise for proprietary deals as central bank’s proposed framework is expected to squeeze funds

Akshata Gorde
Mumbai

Brokerage firms are preparing to make representations to the Reserve Bank of India (RBI) seeking clarifications and possible changes to the new capital market exposure norms, even as the industry braces for a structural reset in funding for proprietary trading operations from April 1, 2026. The revised framework mandates that all bank lending to capital market intermediaries be fully backed by eligible collateral and continuously monitored. More significantly, banks will no longer be allowed to finance proprietary trading or brokers’ investment positions. Credit support for operational requirements, such as working capital, settlement mismatches, market-making, and margin trading

undertaken by clients through stockbrokers, will continue to be permitted. Following the proposals, most market intermediary stocks such as BSE, Groww and AngelOne edged down. While brokers say the rules improve transparency and financial stability, firms with large proprietary books argue that the blanket restriction could raise funding costs and reduce trading intensity, at least in the near term, prompting them to approach the RBI with implementation-related concerns. “The new RBI capital market exposure norms for banks are another step in that direction. By mandating 100 per cent collateral and higher capital backing for broker exposures, the framework is expected to meaningfully restrict proprietary trading activity. This is largely constructive for the broader market,” said Feroze



COLLATERAL DAMAGE. The RBI framework mandates 100% collateral backing for bank lending to market intermediaries and prohibits funding proprietary trading

Azeez, Joint CEO of Anand Rath Wealth. Higher capital commitments will increase the cost of funds for brokers, making highly leveraged proprietary positions less attractive and, in some cases, forcing firms to raise additional capital. In the short term, he said, the transition could lead to selective unwinding of positions, marginally lower liquidity and higher funding

instruments. Market participants said this could marginally reduce the funding value of pledged assets for some brokers but removes ambiguity around valuation and risk management. Ajay Garg, Director & CEO at SMC Global Securities, said: “The tightening of capital market exposure norms by the RBI marks a structural shift in how brokers, particularly those with significant proprietary trading operations, will access funding from April 1, 2026.” This could lead to a moderate reduction in leverage among brokerages. “Proprietary desks that earlier relied on bank funding may either scale down trading activity or increasingly depend on internal capital and alternative funding sources. However, brokers largely focused on client-based activities are unlikely to see any meaning-

ful impact on their core operations,” Garg said. **MARGIN TRADING** One area where the rules offer clarity is margin trading. Earlier, banks lacked a clear regulatory framework for extending margin trading funding to brokers. The revised norms explicitly allow banks to provide funding for margin trading undertaken by clients through stockbrokers, a move seen as positive for client-facing businesses and lender comfort. Ajay Kejriwal, Executive Director, Choice Broking, said: “The recent guidelines are a prudent step toward reinforcing systemic stability. For the broader broking ecosystem, the impact remains largely contained. However, proprietary desk brokers may experience a marginal effect in terms of capital allocation, leverage calibration and treasury efficiency.”

Market makes
strong recovery

Our Bureau
Bengaluru

Equity benchmarks rebounded on Monday, snapping a two-session losing streak, as investors weighed mixed global cues alongside developments related to the India-US trade deal and the wrap-up of the Q3 earnings season. Additional support came from stability in the rupee and range-bound crude oil prices ahead of anticipated US-Iran talks. Market sentiment was further aided by manageable January inflation data and constructive global signals on long-term AI investments following a major funding announcement by Anthropic, said Abhinav Tiwari, Research Analyst, Bonanza. The Sensex ended 650.39 points higher at 83,277.15 and the Nifty 50 zoomed 211.65 points to 25,682.75. The broader markets closed in the green, with Nifty Midcap 100 and Nifty Smallcap 100 indices registering gains.

Indian REITs distribute ₹2,450 cr
to over 3.8 lakh unitholders in Q3

Our Bureau
Bengaluru

The five publicly listed Real Estate Investment Trusts (REITs) in India have collectively distributed over ₹2,450 crore to more than 3.8 lakh unitholders during the third quarter of the current financial year, according to the Indian REITs Association. The listed REITs are Brookfield India Real Estate Trust, Embassy Office Parks REIT, Knowledge Realty Trust, Mindspace Business Parks REIT and Nexus Select Trust.

Currently, they manage a portfolio spanning over 185 million sq ft of Grade A office and retail space across India. **STRONG DISTRIBUTION** Since inception, they have cumulatively distributed over ₹29,100 crore to unitholders, highlighting their growing significance in India's capital markets. The total gross assets under management of the Indian REIT market stands at over ₹2,50,000 crore. Alok Aggarwal, Managing Director & CEO, Brookfield India Real Estate Trust and Chairperson of the Indian REITs Association, said,

“The Indian REIT sector continues to show strong and stable performance, supported by steady demand for high-quality office and retail assets across key markets.” **VALUE CREATION** Healthy leasing activity, improving occupancy and rental growth reflect the strength of India's commercial real estate ecosystem. With disciplined execution and a focus on long-term value creation, REITs are strengthening their position as transparent and reliable income-generating investment platforms for investors, he said.

HUL arm Kwality Wall’s melts on listing

Madhu Balaji
Bengaluru

Shares of Kwality Wall's (India) listed on the NSE at ₹29.80, a substantial discount to the indicative price of ₹40.20, signalling a cautious market reception on its debut, which follows the demerger of the ice cream business from Hindustan Unilever. It ended the trading day 26.82 per cent lower at ₹29.42. On the BSE, it listed at ₹29.90 against the adjusted price of ₹38.15 and ended at ₹29.51. At ₹1,800 crore, the ice cream business, consisting of brands such as Cornetto, Magnum and Twister, con-



CHILLY START. Kamala K, Chief Regulatory Officer, BSE, with Kwality Wall's (India) officials at the listing ceremony. The stock closed at ₹29.51, sharply lower against the indicative price of ₹38.15

tributes around 3 per cent to HUL's annual revenue. **DEMERGER SCHEME** As per the demerger scheme, shareholders of HUL as on the record date of December 5, 2025, received one equity

share of Kwality Wall's (India) Ltd for each share. The company's spokesperson said, “As a standalone, publicly listed company, we will be able to have a sharper focus, bolder & faster innovation approach and more fo-

cus on the front line.” “With access to a strong portfolio of brands which are well-recognised and combined with deep local market understanding, the company is well positioned to strengthen the business by scaling the category and drive sustainable, long-term growth,” the spokesperson added. In addition, Kwality Wall's, in a disclosure, said an open offer had been announced to acquire up to 26 per cent stake from public shareholders, as part of a transaction initiated by Magnum Ice Cream Company Holdco 1 Netherlands B.V. The offer proposes to purchase shares at ₹21.33 per share. The development signals a potential change in shareholding structure.

Fractal Analytics ends 6% lower
at ₹847.15 on Day 1 of listing

Our Bureau
Bengaluru

Shares of Fractal Analytics made a muted stock market debut and settled at ₹847.15 on the NSE, nearly 6 per cent below the offer price of ₹900, on Monday. It debuted at ₹876 on the NSE, a 2.66 per cent discount to the issue price of ₹900. It opened flat at ₹900 on the BSE but ended at ₹847.15. The tepid listing reflected cautious investor sentiment toward the analytics firm despite moderate demand during its public offering. Commenting on the company's long-term outlook, Ravi Singh, Chief Research Officer, Master Capital Services Ltd, said, “Fractal Analytics is poised to take advantage of the expected growth of the global AI market to \$310 billion by FY30. For long-term investors, Fractal Analytics offers a compelling case to stay invested given its strong positioning in the fast-growing



MUTED DEBUT. (from left) Pranay Agrawal, CEO, Fractal Analytics, and Srikanth Velamakanni, Group Chief Executive, with Ashish Chauhan, MD and CEO, NSE, at the listing ceremony

global AI and analytics industry.” **ANCHOR PARTICIPATION** The company's ₹2,834 crore initial public offering was subscribed 2.66 times and saw participation from institutional investors, with anchor investors committing ₹1,248.26 crore ahead of the offer sale. Fractal had earlier scaled down the size of the IPO from its originally proposed ₹4,900 crore, with the revised structure comprising a fresh issue of shares worth up to ₹1,023.5 crore and an

offer for sale of ₹1,810.4 crore. Brokerages said the subdued listing was largely in line with expectations, given valuation considerations and broader market conditions. According to the company's offer documents, proceeds from the fresh issue will be deployed to invest in its subsidiary Fractal USA, repay debt, purchase laptops, establish new offices in India, and fund research and development as well as sales and marketing initiatives under its Fractal Alpha platform.

Aye Finance ends flat at ₹129

Our Bureau
Bengaluru

Shares of Aye Finance made a flat debut on the NSE and the BSE on Monday, listing at ₹129, the issue price. Its initial public offering saw modest investor participation (subscribed just 97 per cent) and reflected cautious sentiment. The stock settled at ₹128.90 and at ₹128.91 on the BSE and NSE. The ₹1,010-crore IPO comprised a fresh issue of ₹710 crore and an offer for sale of ₹300 crore. Ravi Singh, Chief Research Officer, Master Capital Services, said the listing reflected prevailing market conditions rather than company-specific concerns. **CAPITAL BOOST** Aye Finance plans to deploy proceeds from the fresh issue to strengthen its capital base.



Sanjay Sharma, MD, Aye Finance

According to Singh, the lender's diversified product offerings, technology-driven credit assessment processes and geographic expansion provide a foundation for growth, supported by structural demand for credit among micro, small and medium enterprises. However, he cautioned that relatively elevated credit costs and operating expenses compared with peers require monitoring as competition intensifies from other NBFCs and fintech lenders.

Sundaram AMC
launches mid-cap
fund in Gift City

Our Bureau
Mumbai

Sundaram Asset Management Company has launched the Sundaram India Mid Cap GIFT, a USD-denominated offshore feeder fund, offering global investors access to India's high-growth midcap opportunity. The fund is structured through Gift City's International Financial Services Centre and invests in Sundaram Mid Cap Fund, a SEBI-registered domestic MF. The fund opened subscription on Monday, with a minimum investment of \$5,000. Anand Radhakrishnan, MD, Sundaram AMC, said through Gift City, the company aims to expand access to India's long-term growth story for global investors, particularly in the mid-cap segment.

BROKER'S CALL.

Choice Institutional

AZAD ENGINEERING (BUY)
Target: ₹1,900
CMP: ₹1,648.20
Azad Engineering has delivered a strong operational quarter, marked by meaningful margin expansion and continued execution discipline. The company is steadily scaling up its global top-tier OEM relationships, reinforcing its positioning in high-precision aerospace and turbine supply chains. Visibility is exceptionally strong owing to a robust order book of about ₹6,500 crore (1.42x FY25 revenue). As programmes move from qualification in FY26 to anticipated peak utilisation by FY28, we expect volume-led operating leverage to structurally lift earnings. We believe that Azad Engineering stands to benefit from global aerospace and energy capex cycles in the next few years. Its 85-95 per cent export exposure positions it favourably amid deepening India-US and India-EU industrial cooperation. Additionally, easing of tariffs on critical raw materials should support cost-efficiency. The upcoming delivery of India's first indigenous jet engine platform provides optionality. That said, the management continues to guide for a measured, about 35 per cent topline growth trajectory despite having a large backlog, indicating calibrated scaling up rather than aggressive ramp-up. In view of moderated near-term growth expectation, we trim our target multiple to 45x (earlier 50x). Following the recent correction, we upgrade the stock to Buy (from Add) with a TP of ₹1,900, valuing it at 45x FY28 EPS.

Emkay Global

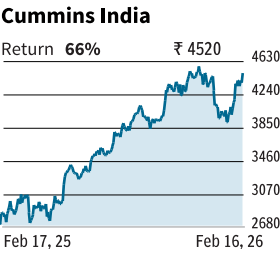
OLA ELECTRIC (SELL)
Target: ₹20
CMP: ₹28.83
We downgrade Ola Electric Mobility to Sell from Buy and cut our TP by 60 per cent to ₹20 from ₹50. Ola logged a weak Q3, with revenue down 55 per cent y-o-y on a 61 pcer cent volume drop. Gross margin (GM) rose by 340bps q-o-q to 34.3 per cent, aided by PLI accrual for Gen3. EBITDAM losses expanded to -58 per cent vs -29 per cent in Q2. The underlying E2W theme is strong; the industry is seeing healthy growth (33/24 y-o-y in Jan/Feb-26), with a revival in penetration following a dip due to recent GST cuts. However, Ola has seen a consistent volume decline to 32k units in Q3 (Q1: 125k) and market-share loss (ranked 5, with 6 per cent share). Ola is undertaking several measures to improve execution (example store rationalisation to 700) and cut costs/conservative cash (guides for ₹250-300 crore/quarter opex vs ₹430 crore in Q3) and improve brand perception amid severe product/service issues (>1 million E2Ws sold since launch). However, we believe that this could be a difficult, long-drawn process, especially amid greater focus from incumbents and scale-up at Ather. Also, the turnaround would necessitate Ola to have a strong cash balance to survive this phase. However, as per our calculations, Ola has turned net debt as of 9M-FY26 (₹670 crore) from net cash of ₹160 crore in H1FY26. Upside risk could stem from a strategic stake sale in the battery business, resulting in meaningful cash infusion. We prefer to play the E2W theme with Ather, TVS and Bajaj Auto.

businessline is not responsible for the recommendations sourced from third party brokerages. Reports may be sent to: **blmarketwatch@gmail.com**

TODAY'S PICK.

Cummins India (₹4,520.65): BUY

Gurumurthy K
bl. research bureau



The short-term outlook is bullish for Cummins India. The rise on Monday marks the end of the brief consolidation that was in place for a week. Cluster of supports are there in the ₹4,400-4,300 region. Fresh buyers are likely to come into the market around this support zone and limit the downside. Cummins India share price can rise to ₹4,800-4,830 in the coming weeks. Traders can buy Cummins India shares now at ₹4,520. Accumulate on dips at ₹4,420. Keep the stop-loss at ₹4,290 initially. Trail the stop-loss up to ₹4,550 as soon as the stock goes

up to 4,590. Revise the stop-loss higher to ₹4,620 and ₹4,710 when the share price touches ₹4,680 and ₹4,740 respectively. Exit the long positions at ₹4,820. This bullish view will go wrong only if the share price declines below ₹4,300. Note: The recommendations are based on technical analysis. There is a risk of loss in trading

Day trading guide

25728 » Nifty 50 Futures

S1	S2	R1	R2	COMMENT
25650	25600	25780	25860	Wait for dips. Go long at 25680. Keep the stop-loss at 25630

₹926 » HDFC Bank

S1	S2	R1	R2	COMMENT
920	915	934	942	Go long on dips at 924 and 921 with a stop-loss at 918

₹1370 » Infosys

S1	S2	R1	R2	COMMENT
1340	1280	1380	1410	Take fresh longs above 1380. Keep the stop-loss at 1370

₹318 » ITC

S1	S2	R1	R2	COMMENT
315	313	320	324	Go long only above 320. Stop-loss can be kept at 319

₹272 » ONGC

S1	S2	R1	R2	COMMENT
269	267	273	277	Take fresh longs above 273. Keep the stop-loss at 272

₹1434 » Reliance Ind.

S1	S2	R1	R2	COMMENT
1430	1410	1450	1470	Take fresh long position now with a tight stop-loss at 1425

₹1210 » SBI

S1	S2	R1	R2	COMMENT
1200	1190	1240	1265	Go long now and at 1205. Stop-loss can be kept at 1195

₹2714 » TCS

S1	S2	R1	R2	COMMENT
2665	2630	2720	2750	Go long on a break above 2720. Keep the stop-loss at 2710

S1, S2: Support 1 & 2; R1, R2: Resistance 1 & 2.

S1, S2: Support 1 & 2; R1, R2: Resistance 1 & 2.

Nifty 50 Movers					▲ 211.65 pts.
	Close(F)	Pts	PE	WN%	
HDFC Bank	925.80	73.46	18.39	12.09	
Reliance Ind	1437.10	25.91	19.89	8.28	
Axis Bank	1358.30	16.34	13.96	3.32	
Bharti Airtel	2029.40	15.09	31.23	4.82	
PowerGrid Corp	300.50	13.21	18.00	1.16	
ITC	317.95	8.88	19.24	2.62	
State Bank	1208.10	8.64	12.89	4.28	
Kotak Bank	425.60	7.98	22.52	2.67	
L&T	4201.50	7.11	30.46	4.21	
Coal India	422.50	6.75	8.75	0.82	
NTPC	369.10	6.34	14.42	1.49	
Shriram Finance Ltd.	1085.40	6.02	22.32	1.30	
Tata Steel	205.81	4.77	28.17	1.45	
Max Healthcare	1075.85	3.63	73.74	0.68	
ONGC	297.55	3.54	7.98	0.30	
Bajaj Finserv	2050.90	3.47	17.07	1.00	
Adani Ports	1540.10	3.41	28.39	0.97	
JSW Steel	1248.20	3.34	39.30	1.00	
TCS	2766.60	3.22	20.42	2.36	
Cipla	1356.40	3.07	24.17	0.65	
Asian Paints	2397.20	3.05	58.01	0.59	
Adani Enter	2184.60	2.74	17.84	0.49	
Hind Unilever	2319.00	2.69	54.19	1.76	
Eternal Ltd.	286.60	2.21	1197.31	1.76	
Grasim Ind	2912.70	2.07	20.93	0.95	
Bharat Elec	438.00	1.92	53.69	1.34	
Apollo Hosp	7618.00	1.70	58.71	0.89	
HDFC Life	703.90	1.67	80.22	0.65	
HCL Tech	1461.80	1.53	24.08	1.32	
NestleIndia	1289.80	1.13	76.25	0.79	
TataConsumerProduct	1139.20	1.00	76.61	0.63	
SBI Life	2042.40	0.81	83.49	0.78	
Sun Pharma	1700.50	0.70	37.25	1.54	
IntiglobesAi	4940.80	0.58	59.49	0.95	
UltraTech Cement	12981.00	0.47	49.92	1.31	
Dr Reddys Lab	1269.40	0.17	19.18	0.66	
Titan	4181.10	0.17	77.88	1.47	
Hindalco	597.45	0.08	12.68	0.12	
Wipro	213.36	-0.52	16.77	0.52	
Jio Financial Services Ltd.	262.55	-1.01	103.94	0.71	
Trent Ltd.	4229.50	-1.09	92.82	0.80	
Tata Motors PV	377.25	-1.38	51.30	0.67	
Bajaj Auto	9697.50	-1.52	30.48	0.92	
Eicher Motors	8097.30	-1.05	41.01	0.94	
Kwality Walls	29.42	-2.10	0.00	0.02	
Infosys	1365.60	-2.69	19.77	4.08	
Tech Mahindra	1512.70	-3.02	32.28	0.82	
M&M	3509.70	-4.64	25.82	2.68	
ICI Bank	1411.60	-4.70	17.83	8.61	
Maruti Suzuki	15951.00	-7.45	31.68	1.99	
Bajaj Finance	1012.75	-6.99	34.39	2.30	

Pts: Impact on index movement

Nifty Next 50 Movers

▲ 670.00 pts.

	Close(F)	Pts	PE	WN%
Torrent Pharma	4261.50	57.58	67.40	1.92
Power Finance	411.80	49.15	4.07	2.59
Britannia Ind	6106.00	44.41	60.86	3.11
Canara Bank	145.84	43.17	7.18	2.12
Tata Power	382.10	40.31	24.38	2.77
AdaniGreenenergy	991.25	37.48	87.97	1.31
Adani Power	142.77	33.97	24.37	2.43
DIF	643.80	33.49	35.99	1.78
Bajaj Holdings	11133.00	32.73	13.82	4.08
Vedanta	679.80	31.30	16.04	2.98
Jindal Steel	1210.90	29.37	61.27	1.95
Bank Of Baroda	292.55	28.39	7.70	2.34
Varun Beverages	455.85	26.89	50.35	2.69
Siemens	3215.60	26.28	72.23	1.23
Gail (India)	164.82	25.33	12.59	1.92
Rural Elec	353.50	24.73	5.40	1.91
Jsw Energy	489.95	24.55	32.89	1.13
Macrotech Developers	1097.90	20.51	32.78	1.33
Punjab Natl Bank	120.57	18.72	7.75	1.79
Siemens Energy India	2809.30	18.36	86.40	1.07
Cg Power & Ind Sol	688.75	17.72	97.77	2.04
Abb India	5888.00	16.91	0.00	1.33
Adani Energy Solutions	1003.45	16.08	50.57	1.50
SamsamruthoInternatnall	142.31	13.99	38.37	2.54
Havells	1230.70	12.64	60.10	1.55
Godrej Consumer	1203.80	10.14	67.62	2.09
Ambuja Cements	96.15	9.61	26.35	1.88
Indian Railway Finance Corp	1131.98	9.33	21.11	0.87
Hindustanairconats Corp	4226.10	7.80	31.77	3.46
Pidilith	1487.30	7.45	65.41	1.99
Shree Cement	26315.00	7.42	52.86	1.52
ChloroAlumini&Fin Sol	594.10	6.85	28.85	3.13
Solar Industries	3131.00	4.95	9.77	77.11
Lic	869.15	4.50	10.76	0.83
ZydusIntelligences	910.45	4.32	18.23	0.98
Lic Lombard Cog	1922.00	4.28	34.31	1.94
Mazagon Dock	2357.50	1.66	39.51	0.77
Hindal Zinc	954.10	1.63	21.27	0.71
BPCL	374.35	1.45	6.60	3.13
LtMinted	5118.50	0.83	32.12	2.05
United Spirits	1401.00	-1.24	59.25	1.79
Bajaj Housing Finance	88.83	-1.29	29.87	0.36
Drives	35465.00	-5.47	37.37	1.33
Novo Metal India	41.00	-6.03	20.39	3.93
Bosch Lab	6149.90	-7.24	65.85	3.37
AvenueSuper	3880.70	-12.59	88.17	2.47
Indian Oilcorp	175.15	-18.66	6.71	2.83
Info Edge I	1125.20	-18.45	40.04	1.89
Indian Hotels Co	691.00	-23.45	45.44	2.62
Tcs	3807.40	-40.29	59.24	3.86

Pts: Impact on index movement

QUICKLY.

Gold declines on stronger dollar in thin trading



Gold prices fell in low market liquidity on Monday as key markets in the US and Asia were shut for holidays, while a firm dollar put pressure on bullion. Spot gold fell 0.9 per cent to \$4,997.77 per ounce by 1318 GMT, after losing more than 1 per cent earlier in the session. US gold futures for April delivery lost 0.6 per cent to \$5,018.70 per ounce. REUTERS

Palm oil slides on weak export data

Kuala Lumpur: Malaysian palm oil futures slipped on Monday, ahead of the Lunar New Year holidays that start from Tuesday, pressured by sluggish early February export data and expectations of an accelerated harvest. The benchmark palm oil contract for May delivery on the Bursa Malaysia Derivatives Exchange fell 32 ringgit to 4,014 ringgit (\$1,029.76) a tonne at the close. REUTERS

Copper softer on thin volumes



London: Copper prices softened on Monday due to a firmer dollar, a focus on rising inventories and weak demand prospects in holiday-thinned trading. Benchmark copper on the London Metal Exchange traded 0.1 per cent lower at \$12,865 a tonne in the official ring. REUTERS

Customs detain ship laden with 309 dry fruit containers for faking walnuts origin

SAFTA BENEFITS. Stocks from Bandar Abbas in Iran are suspected to be ‘misdeclared’ as being from Afghanistan

Subramani Ra Mancombu
Chennai

Customs officials at Mumbai’s Nhava Sheva port have detained a Comoros-flagged vessel *WIV Reyfa* with nearly 310 containers of dry fruits, originating from Bandar Abbas port in Iran, on suspicion that the origin of the consignment has been “misdeclared”.

The detention, for nearly a fortnight, follows “specific information” of misdeclaration of origin of the produce received by the Department of Revenue Intelligence (DRI).

Though the port of loading for all containers has been given as Bandar Abbas, officials are questioning the crew for more details.

A circular issued by the Central Intelligence Unit (CIU) of the Customs Department on Monday said one person had been arrested,



DAYLIGHT ROBBERY. One person has been arrested in connection with the case, and till now, the probe has revealed duty evasion to the tune of ₹50 crore

ted, and “the investigation has revealed duty evasion to the tune of ₹50 crore”.

DRI LETTER

The investigation followed a letter from the DRI to the Mumbai Commissioner of Customs. The dry fruit consignments, particularly of walnuts, are claimed to be of Afghan origin to make use of the South Asia Free Trade Agreement (SAFTA) zero import duty benefits.

However, they are not of Afghan origin.

The CIU circular said utilising the fact that Afghanistan is landlocked, “certain unscrupulous importers have engineered a modus operandi” to show that the goods are of Afghan origin.

“Under this modus operandi, forged transit documents, including fake Bills of Lading showing movement of goods/containers from Bandar Abbas to Jebel Ali, are

Nabard-NCDEX scheme helps growers harvest gains

Subramani Ra Mancombu
Chennai

A price protection scheme jointly launched by Nabard and the National Commodities and Derivatives Exchange (NCDEX) a year ago has begun to help farmers, particularly cultivating turmeric, manage price volatility by taking part in options trade in the derivatives market.

Under the scheme, Nabard subsidises premiums for put options for farmer-producer organisations (FPOs) across seven States. The crops covered under the scheme are turmeric, jeera (cumin) and dhaniya (cori-

ander). In the first phase, the scheme has covered 80 FPOs and 1.34 lakh farmers, with 6,544 tonnes of produce being hedged.

Rashtronnati Farmer Producer Company in Maharashtra’s Washim district achieved a turnover of ₹1 crore in the first nine months of the current fiscal.

FPOs taking part in the scheme gained ₹6.31 crore over insured floor prices during January–March 2025, signalling early evidence of income protection and improved market decision-making, according to NCDEX sources.

In particular, the FPOs’ hedging helped the price of



the golden spice rise to a five-year high in the spot market and on the NCDEX.

TURMERIC PRICES

Currently, turmeric prices are ruling around ₹14,355.05 a quintal compared with ₹10,689.02 a year ago. On

allegedly being prepared in collusion with shippers and certain elements within shipping lines to create a deceptive chain of transit documentation,” it said.

ZERO DUTY BENEFITS

As a result, goods which are not of Afghan origin are loaded on to the ship. Thereafter, they are sent directly to Jawaharlal Nehru Port.

Upon arrival at Nhava Sheva port, Bills of Entry are filed at the port’s Customs House, claiming preferential benefits of zero duty under the SAFTA. This is done with the help of a country of origin (COO) certificate and forged transit documents for the movement of goods from Bandar Abbas to Jebel Ali Port, UAE, it said.

The DRI, in its letter to the Customs Commissioner, said that though the containers had been loaded at Bandar Abbas, claiming to be of Afghan origin, they were

produced elsewhere.

The DIU circular said to substantiate their “false claim of country of origin”, shippers forged transit documents and uploaded them on E-sanchit (a computerised format to handle indirect tax documents) to create an artificial trail of goods movement from Bandar Abbas to Jebel Ali Port, thereby claiming the goods from Afghanistan came through Iran before reaching Jebel Ali or Khor Fakkan Port, UAE.

The circular said the fabrications revealed deficiencies that “collectively indicate deliberate falsification and manipulation of shipping records to fraudulently avail [of] inadmissible SAFTA benefits.”

Meanwhile, one of the importers has approached the Mumbai High Court. On the other hand, Customs officials are asking for bank guarantees matching the value of imports.

price protection scheme.

ISING PARTICIPATION

“We sold another 150 in the spot market and reaped good profit,” he said. Rashtronnati, which has a paid-up capital of ₹9.75 lakh, has 900 members, including 180 women. The members grow turmeric on 500 acres.

Rashtronnati’s turnover in the 2024–25 fiscal was ₹58 lakh, with ₹27 lakh coming from turmeric. Then came the sharp rise in turnover this year at ₹1 crore.

“This has been possible due to increased farmer participation in options trade and improved market linkages,” said Mahale.

EarthDaily to launch 9 satellites for agri sector

Subramani Ra Mancombu
Chennai

Vancouver-based EarthDaily, a global Earth observation and analytics company, plans to launch nine satellites this year designed to serve the agriculture sector, said Andrew Pylypchuk, the company’s Global Director of Business Agriculture.

“We already have one in orbit, which we launched in June of 2025... These satellites will bring new capabilities not seen in the market. We’ll be able to get a daily image of Earth’s landmass.”

The new satellites will enable markets such as India, Africa and the Asia-Pacific, which have more small landholdings, to get the same insights the company delivers to North America, Europe and the Western world.



Andrew Pylypchuk, Global Director of Business Agriculture, EarthDaily

“The imagery will be collected automatically, and the other unique part of the satellite constellation is that we will have visual data, infrared data, shortwave infrared data and thermal data — all on the same platform. Never before has any single satellite seen this breadth of spectral characteristics. We are excited about the new capabilities that we’ll bring

to the market in the agriculture space,” he told *businessline* in an online interaction.

BETTER OUTCOMES

EarthDaily, which focuses on long-term environmental intelligence, has been using several public and commercial satellites for the past 30 years.

Now, it has begun to launch its own satellites. These satellites will be able to provide alerts on water, moisture and crop stresses.

Earth Daily is a software and data analytics company and is launching a series of satellites to power its data and analytics.

At the end of the day, these would result in fewer chemicals and better outcomes, he said. EarthDaily will tap into artificial intelligence (AI) and machine learning (ML) to get a better understanding

of various events unfolding in the agriculture sector.

“Broadly speaking, a lot of algorithms have been designed in the past, but with machine learning and AI it will be more dynamic, and we’ll be able to make those links in a much larger space,” said Pylypchuk.

On the impact of climate change, he said innovations will help manage it. Data sets like the ones that the company puts out will be used to understand the best practices in climate shifts.

The services of EarthDaily, founded in France, are available globally — in Asia, Pacific, Africa and much of the Equatorial belt.

Pylypchuk said in Brazil, the company is perhaps the one which is able to get 24 images in the rainy season. This will likely increase once the satellites are launched.

Data centres powering Asia’s greenhouse boom

Gayathri G
Chennai

The rapid expansion of data centres and the mounting pressures of climate change are emerging as powerful new drivers of greenhouse investment in Asia, even as global suppliers turn more cautious on near-term growth, according to Rabobank’s latest global greenhouse update.

Electricity consumption by data centres is projected to more than double globally by 2030, rising from 415 terawatt-hours in 2024 to 945 TWh. These facilities generate residual heat of 30–40°C — a temperature range well suited for greenhouse horticulture. Rabobank says integrating data centres with high-tech greenhouses could improve energy efficiency,

lower carbon emissions and strengthen the economics of renewable power by reusing waste heat. For Asia, where AI-driven infrastructure is expanding rapidly, this presents a strategic opportunity to pair digital growth with controlled-environment agriculture.

CHINA’S AREA

At the same time, climate volatility is reinforcing the case for protected cultivation. More frequent heat waves, floods and droughts are increasing risks at plant, company and supply-chain levels. Greenhouses offer insulation against weather shocks, while also enabling tighter pest control, water management and yield stability. Rabobank notes that climate change may shift regional crop suitability, pushing more production into



controlled environments over time.

Asia is already moving decisively in that direction. China’s protected cultivation area reached about 1.3 million hectares in 2022 — more than double the 5,55,500 hectares recorded in 2010.

Vegetable production dominates in provinces such as Shandong and Liaoning, while Yunnan has developed a strong floriculture base. The scale of expansion, increasingly tracked through satellite imagery, underlines how central greenhouse

farming has become to China’s food strategy.

Across the Far East and Australia, fresh tomato self-sufficiency rates are close to 100 per cent. Governments are prioritising higher self-sufficiency in fresh vegetables, following pandemic-era disruptions and geopolitical tensions, a trend Rabobank expects to continue over the next decade.

While strawberries and leafy greens show the strongest growth outlook globally, alternative crops under glass remain commercially marginal for now. For Asia, however, the convergence of climate risk, energy innovation and food security policy signals that the next phase of greenhouse growth will be increasingly technology-led and strategically aligned with broader infrastructure development.

Tea prices surge at Kochi auctions on rising demand, low offerings

V Sajeew Kumar
Kochi

Rising demand, coupled with low offerings, pushed tea prices at Kochi auctions, especially with orthodox leaves registering an increase of ₹15 per kg.

Traders attributed the price rise to dropping temperatures in the high ranges, which continue to hit tea production, leading to reduced arrivals on the auction platform.

The offered quantity in sale 7 in orthodox leaves was 1,57,560 kg, and it registered 97 per cent sale with strong buying from the CIS and Middle East countries.

Almost all the production centres are witnessing a similar trend of brew shortage due to the winter, and buyers are thronging to procure the available quantity offered, traders said.

The auctioneers Forbes,



CHILLING EFFECT. Traders attributed the price rise to dropping temperatures in the high ranges, which continue to hit tea production REUTERS

Ewart & Figgis said the whole leaf and broken was higher by ₹5 to ₹10, and sometimes more. Clean black and well-made medium whole leaf and broken witnessed strong features, and the prices were higher by ₹10 to ₹20.

93% OF DUSTS SOLD

CTC leaf also witnessed a good demand with 91 per cent sales out of the offered quantity of 37,000 kg,

Broken and Fannings were firm to dealer in all categories. CTC dust prices also witnessed a strong demand with good liquoring teas selling at a steady rate.

As the sale progressed, the market became firm to dealer, especially towards the close. The offered quantity was 5,90,812 kg with 93 per cent sales, and all blenders together absorbed 69 per cent of the total CTC quantity sold.

Coonor sales witness low offerings on weather issues

V Sajeew Kumar
Kochi

Dropping temperatures in plantations have affected tea production, leading to reduced offerings at the Coonor auctions. The offered quantity in CTC leaf was only 7,75,617 kg, witnessing 88 per cent sales, while the figure for dust grades was 2,24,096 kg, registering a sales percentage of 89, Global Tea Auctioneers said.

The Nilgiris district is witnessing a severe frost spell, damaging tender tea shoots and slowing new flush growth.

FARMERS AFFECTED

This led to low arrivals of green leaves, leading to a drop in overall production. The movement of tea from factories has also come down. The emerging scenario affected small growers and factory workers, as the



bushes will take time to recover till the rains set in and the night temperatures rise.

Traders said blenders were not active in sale no 7, and prices maintained firm in spite of one of the blenders being very selective. High-priced teas and better liquoring sorts sold dearer ₹4 to ₹5.

The primary whole leaf grades were lower by ₹5 to ₹6. The broken were barely steady to occasionally dearer by ₹3 to ₹4. The secondaries and fannings were barely steady to occasionally dearer by ₹1 to ₹2. In CTC dust, high-priced teas and better liquoring sorts sold dearer by ₹3 to ₹4.

Centre to launch Bharat-VISTAAR scheme today

Prabhudatta Mishra
New Delhi

Union Agriculture Minister Shivraj Singh Chouhan will launch a new digital companion “Bharat-VISTAAR”, which was announced in the Budget for 2026–27, on Tuesday for farmers across the country from Jaipur. This AI-based platform will provide information to farmers about weather, rates in mandis, pests and diseases, soil health, crop advice and government schemes through phone calls, chatbots and app.

In Phase-I, the facility will be in Hindi and English, and will reach farmers in States such as Maharashtra, Bihar and Gujarat, the Ministry said in a statement. On the occasion, Chouhan will also launch “AI for Agriculture Roadmap”, the Ministry said, adding Bharat-VISTAAR app will also be released.

Lead: Retain long position at ₹187, stop-loss at ₹181

Akhil Nallamuthu
bl. research bureau

Lead futures recorded a lifetime high of ₹207.40 (per kg) on January 29. However, the contract has been on a decline since then. While the volatility has been higher, the price moderated and the contract is now hovering around ₹187.

COMMODITY CALL.

As per the prevailing price action, there is a chance for lead to dip further. But there is a notable support at ₹184, and a decline beyond this level is unlikely.

A rally, either from the current level of ₹187 or after a dip to ₹184, could lift lead to ₹196, a notable resistance. After reaching this level, the contract could witness a decline in price.

On the other hand, instead of a rebound, if lead breaches



the support at ₹184, it could find an immediate support at ₹182. But breaking down below ₹182 could turn the near-term outlook weak and possibly drag the contract to ₹176. Overall, the likelihood for a rally is high.

TRADE STRATEGY

Retain the long that we suggested to initiate at ₹187. Add long if the price dips to ₹185. Maintain stop-loss at ₹181. When the contract reaches ₹190, revise the stop-loss to ₹188. When the contract rises to ₹194, modify the stop-loss to ₹191. Exit at ₹196.

QUICKLY.

IIT-M, FMI set up
VAYYU centre

Chennai: Indian Institute of Technology Madras is partnering with Finnish Meteorological Institute to create 'VAYYU' — the Virtual Research Centre on Aerosol-Meteorology Interactions, Himalayan Atmosphere-Cryosphere interactions, and Urban Air. The centre will focus on understanding how aerosols influence hydro-climate, snow and glacier melting and Air Quality. **OUR BUREAU**

Aequs to set up ₹1,900-cr unit in Krishnagiri

Chennai: Aequs, a contract manufacturing firm specialising in consumer durable goods and aerospace parts, on Monday, informed the stock exchanges that it has signed a MoU with the Government of Tamil Nadu to set up a manufacturing facility for Aircraft Engines, Landing Gear and Systems. **OUR BUREAU**

Tata Steel, JSW and AM/NS bet big on scrap as green steel norms roll out

EMISSION CONTROL. Govt begins green ratings for steel; PSUs will soon procure only rated steel for projects

Suresh P Iyengar
Mumbai

Steel companies, including Tata Steel, ArcelorMittal, Nippon Steel, and JSW Steel, are planning to increase use of scrap in steelmaking and setting up steel processing centres as the green steel taxonomy rolls out. The government has started issuing green steel star ratings based on carbon emissions and is working on norms for PSUs to mandatorily use certified green steel in their projects.

CARBON EMISSIONS
Based on carbon emissions from the steel-making process, the National Institute of Secondary Steel Technology, acting as the nodal agency, will issue three-, four-, and five-star ratings. Tata Steel is looking at re-



RECYCLING EXPANSION. The company has set up a plant for recycling printed circuit boards and is seeking similar plants in western and southern India

cycling as a separate vertical. The company already has a 0.5 million tonne scrap recycling plant with a shredder, baler, etc at Rohtak. The green steel plant of Tata Steel at Ludhiana is expected to go on stream soon. The company has set up a plant for recycling PCBs

(printed circuit boards) and is seeking similar plants in western and southern India. TV Narendran, Managing Director and CEO, Tata Steel, said in an interview with *businessline* that the company will produce steel using iron ore and coal in East India, but will use re-

cycled or scrap in North, West, and South India. "We will move in that direction once the Ludhiana plant starts and stabilises in the next few months. The next plant will be either in the west or south. We are already exploring opportunities," he said.

NATURAL GAS FUEL
ArcelorMittal Nippon Steel was the first integrated steel producer to receive a four-star rating for its Hot Rolled coil and a three-star rating for its Cold Rolled coil. It had the advantage of producing Direct Reduced Iron (DRI) using natural gas, increasing steel scrap use, and achieving 31 per cent green energy at its plant. Arvind Bodhankar, Chief Sustainability Officer, AM/NS India - Hazira, said the company will set up three steel scrap processing

centres, in addition to the one in operation at Kopoli, on the outskirts of Mumbai. "Besides the availability of steel scrap, the quality is an issue. The quantum of zinc, copper and paints are very high. We are setting up our own scrap processing centres," he said. JSW GREEN INITIATIVE JSW Steel has started using hydrogen at its DRI plant, aiming to reduce carbon intensity by 42 per cent by 2030. "Aligned with the Government's Steel Scrap Recycling Policy, 2019, we are setting up a 0.5 mtpa scrap processing facility in Maharashtra," said JSW Steel. This initiative is a key step towards reducing dependence on virgin raw materials and lowering the overall carbon footprint of steel production, it said.

‘Collaboration with France & UK to unlock aero engine technologies’



Defence Minister Rajnath Singh and DRDO chief Samir V Kamat at the Gas Turbine Research Establishment lab in Bengaluru

Dalip Singh
New Delhi

Defence Minister Rajnath Singh on Monday signalled that the UK remains in India's reckoning for a next-generation indigenous combat aero engine, hinting that Rolls-Royce continues to be in the hunt even as New Delhi deepens parallel engagement with France. Singh's remarks came after a review of ongoing projects relating to indigenous military gas turbine engine development at DRDO's Gas Turbine Research Establishment (GTRE) in Bengaluru, adding a fresh dimension to India attempting to acquire critical know-how in strategic aerospace domain. For the first time, people tracking aerospace capability development stated, the Defence Minister has spoken publicly about the joint programme GTRE is running with Rolls Royce for aero engine co-development and referenced it in the same breath with the parallel effort with French aerospace company Safran under the National Aero Engine Mission. "You are conducting a joint study with the UK for Aero Engine development. This is very good. Besides this, we have also started the process with France for an aero engine under the Na-

tional Aero Engine Mission," said Singh. "Both France and the UK have been leaders in aero-engine technology. This collaboration with them will not only give us an opportunity to learn new technologies but will also help in understanding the challenges they have faced over the past decades," he added. The Cabinet Committee on Security is expected to shortly take up a proposal from the DRDO for the co-development of aero-engine with Safran. Significantly, Tufan Erginbilgic, CEO, Rolls Royce and his colleague Sashi Mukundan, Executive Vice President Transformation India, met Prime Minister Narendra Modi and NSA Ajit Doval last week, to push the British major's contention for participating in India's aatmanirbhar initiative for the 120kN combat aero engine. Rolls-Royce has offered full technology transfer, including intellectual property ownership for India, supported by a dedicated design complex and manufacturing ecosystem for the indigenous development of a 120kN-class aero engine. The company has also pitched the flexibility to adapt the platform for future naval fighter aircraft.

Fall in coal-fired power generation in India & China in 2025, a first in 50 years

Rishi Ranjan Kala
New Delhi

For the first time in 50 years, coal based power generation declined in 2025 in two of the world's top consuming centres — China and India. The International Energy Agency (IEA), in its latest update on the power sector, noted that coal-fired generation remained broadly flat in 2025, but regional trends diverged in ways not seen in previous years. "2025 also marked the first time in five decades that coal-fired generation declined simultaneously both in India and China," it noted.

China and India experienced moderate growth of 5.1 per cent and 1.4 per cent respectively, on an annual basis in 2025, the agency explained. In India, coal-fired output declined as rapid renewable expansion outpaced slower electricity demand growth. A strong early monsoon curbed consumption, while renewable generation saw its largest-ever annual increase, displacing coal. **TREND TO HOLD** In China, IEA explained that a strong growth in renewables and nuclear power, combined with slower demand growth led to a decline

in coal-fired generation. Going ahead, the agency expects the structural trend in China observed in 2025 to continue through 2030, with coal-fired output edging down as renewables and nuclear power keep expanding. In China, solar PV generation increased by more than 40 per cent year-on-year (y-o-y) in 2025 and wind by around 12 per cent. The annual VRE (variable renewable energy) share in overall electricity generation reached 22 per cent, up from 18 per cent in 2024. Hydropower generation posted growth of 2.8 per cent, while nuclear output rose by 7.7 per cent, support-



ted by new capacity additions. However, coal-based electricity generation declined by around 1 per cent, due to weaker demand and growth

Growth was led by solar PV generation (24 per cent y-o-y), with 33 TWh of additional generation

in low-emissions sources, versus a rise of 1.3 per cent in 2024, IEA pointed out. **INDIA SHIFT** By contrast, it added that India's recent decline is expected to be temporary, with coal-fired output projected to resume rising over the forecast period.

Renewable electricity generation grew in India by 20 per cent in 2025, posting their absolute strongest annual increase, 82 TWh (terawatt-hour), on record. Growth was led by solar PV generation (24 per cent y-o-y), with 33 TWh of additional generation. This is a notable rise from the already strong 15 per cent growth seen in 2024. Wind power generation was up 28 per cent, while hydro-power rose by 14 per cent amid improved hydrological conditions. After four years of growth rates above 6 per cent, India's demand grew by a modest 1.4 per cent in 2025.

Tamil Nadu's \$1-trillion economy goal could be delayed by a year to 2031: Economic Survey

Our Bureau
Chennai

Tamil Nadu's aim of achieving a \$1 trillion milestone could be delayed by a year to 2031, according to the Economic Survey 2025-26. If Tamil Nadu sustains its 2024-25 nominal growth rate of 16 per cent and with an assumption of 2 per cent (medium-term rate) rise in the value of dollar against the rupee per annum, it can achieve the trillion-dollar milestone by 2031. With 3.5 per cent (short term rate of rise of dollar value), it may be delayed for a year, says the 263-page report.

EMPHASISING WELFARE
The survey was prepared by the State Planning Commission (SPC) was handed over to Chief Minister MK Stalin on Monday, on the eve of the

The primary sector contributed 13.4% to the State's Gross State Value Added, the secondary sector 33.1%

State's Interim Budget to be presented in the Assembly on Tuesday. Fiscal policy has broadly supported the State's growth trajectory. Total capital expenditure between 2020-21 and 2025-26 amounts to ₹2.54 lakh crore, reflecting a decisive emphasis on asset creation. Although the debt-to-GSDP ratio remains below the thresholds recommended by the 15th Finance Commission, future pressures arising from pay revisions, pensions, and GST rationalisation could strain fiscal space.

The State contributed 9.4 per cent to national Gross Domestic Product (GDP) in 2024-25. Its GDP at current prices reached ₹31.19 lakh crore, reflecting a nominal growth rate of 16 per cent and a real growth rate of 11.2 per cent. The manufacturing sector recorded a robust real growth rate of 14.74 per cent, more than three times the all-India average of 4.5 per cent. The adoption of advanced technologies, the presence of research institutions, and the development of IT clusters in Chennai, Coimbatore, and Hosur have further strengthened productivity and innovation. The primary sector contributed 13.4 per cent to the State's Gross State Value Added, the secondary sector 33.1 per cent and the services sector contributed 53.6 per cent.

In terms of Foreign Direct Investments, the State's FDI inflows increased steadily from US\$2,436 million in 2023-24, and to US\$3,681 million in 2024-25. **EXPORTS** Tamil Nadu's export performance showed resilient growth with merchandise exports nearly doubling from \$26.15 billion in 2020-21 to \$52.07 billion in 2024-25, highlighting the State's growing global competitiveness and industrial diversification. One of the core strategies outlined by the government to achieve the \$1 trillion target is to increase exports to \$100 billion by 2030. Given the State's strong export momentum, Tamil Nadu appears well on track to meet this goal, despite temporary challenges such as the recent tariff hike imposed by the US.

'MSMEs should register on UAP, maintain credit discipline'

Our Bureau
Chennai

MSMEs should pursue formalisation by registering on the Udyam Assist Platform, maintain credit discipline and adopt digital payments to build long-term resilience and competitiveness, according to RBI Governor Sanjay Malhotra. At a meeting with representatives of industry associations in Mumbai, Malhotra underscored the pivotal role of the sector in India's economic landscape. Malhotra emphasised that improving access to timely and adequate formal credit for MSMEs remains a key policy priority of the RBI. He also outlined several policy and regulatory measures undertaken for the sector by Centre and the RBI. MSMEs account for 33 per cent of Banks' credit to "industry" as at December.

Chennai to host three-day Fairpro 2026 from Feb 20

Our Bureau
Chennai

Fairpro 2026, a three-day property fair by the Confederation of Real Estate Developers Association of India (Credai), will be held in Chennai from February 20. The 18th edition of the event being organised by Credai, Chennai, will showcase a range of properties to suit every budget. Many properties are available in sub-₹1 crore, which could attract first time buyers, said S Sivagurunathan, Advisor, Fairpro 2026 and Past President of CREDAI Chennai. "The residential market in Chennai remains strong, supported by infrastructure growth and steady demand. This edition brings together the finest developments...enabling homebuyers and investors to make confident and well-informed decisions," he told newsmen. "With over 80+ developers

and 500 projects on display, Fairpro continues to be Chennai's most trusted property fair," said Mohamed Ali, President, Credai Chennai.

TVS SCS, ALA Group partner to tap aerospace and defence supply chain business

Our Bureau
Chennai

TVS Supply Chain Solutions (TVS SCS) signed a Memorandum of Understanding (MoU) with ALA Group, an Italy-based global aerospace and defence supply-chain integrator to jointly pursue aerospace and defence supply chain opportunities, with a particular focus on defence offset programmes. TVS SCS and ALA Group will jointly provide integrated supply chain services across both production and aftermarket lifecycles. They will initially focus on opportunities in India. TVS SCS will leverage its defence and utilities supply chain experience gained through its UK operations, its strong domestic presence in India for

procurement, market access, government and stakeholder engagement and its relationships with aerospace customers across the Asia-Pacific region.

GLOBAL AEROSPACE
ALA Group, on the other hand, will contribute its global aerospace and defence domain expertise, technology platforms, and relationships with international aerospace customers across Europe, the US, and the UK. "This collaboration reflects our long-term strategy of building globally relevant capabilities in complex and regulated sectors. We are positioning the company to participate in the evolving global aerospace and defence supply chain ecosystem," R Dinesh, Executive Chairman, TVS SCS, said.

OpenAI, Meta speech models struggle with Indian languages

Rohan Das
Chennai

Though India is among the largest user bases for global AI models like ChatGPT, it appears that these models actually struggle to understand Indian languages and dialects. A latest report from AI4Bharat, an AI research lab from the Indian Institute of Technology Madras (IIT-M) and edtech JoshTalks reveals that voice-based AI models, including from OpenAI, Meta and Microsoft, struggle to accurately recognise how Indians speak, especially the regional languages and dialects. The study analysed the Automatic Speech Recognition (ASR) capabilities

of the models, evaluating an audio dataset that includes 15 languages and about 35,000 speakers spread across age groups, genders, regions, socio-economic backgrounds, device types and acoustic environments. **REGIONAL LANGUAGES** Its findings showed that major models show a Word Error Rate (WER) — the percentage of errors relative to the total words in a reference

transcript — of 20-30 per cent. In practice, this can lead to multiple disconnects across domains that use such speech systems like welfare applications, medical symptoms, customer complaints, among others. For instance, OpenAI's transcription models show over 55 per cent WER in Indian speech. **ERROR RATES** In dialects like Bhojpuri and Maithili, some models fail to transcribe two out of three words correctly while Meta's error rates in Tamil and Malayalam are often 2-3x higher than Indian systems, Microsoft does not support six out of 15 Indian languages tested. Similarly, despite being

linguistically similar to Hindi, OpenAI models perform poorly in Urdu (35.4 per cent WER). **SARVAM OUTPERFORMS** However, Indian AI start-up Sarvam's models (Sarovam Audio) consistently ranks among the top across almost every language and dialect tested, including major languages like Hindi and Bengali as well as regional ones like Odia and Assamese. Meanwhile, the report also indicates that all models, including Sarvam perform significantly better in Indo-Aryan languages like Hindi/Bengali with WER rates of ~5-6 per cent as against Dravidian languages like Tamil/Telugu/Malayalam/Kannada at a 15-20 per cent WER.

KERALA WATER AUTHORITY e-Tender Notice
Tender No : 28/SE/PHC/TSR/2025-26, State Plan - 2023 - 24
Proposals under the head Rehabilitation/Improvement Works of Urban Water Supply Schemes - UWSS-REPLACING EXISTING DAMAGED AC PIPE LINES WITH NEW PVC PIPES IN KUNNAMKULAM MUNICIPALITY-DPR Preparation Work.
EMD : Rs. 1,00,000/- Tender Fee : Rs. 8,270 /- Last Date for Submitting Tender : 03.03.2026, 03:00 pm. Phone : 0487 - 2423230.
Website : www.kwa.kerala.gov.in, www.etenders.kerala.gov.in
Superintending Engineer, PH Circle, Thrissur

ESAF
ESAF SMALL FINANCE BANK
REGD. OFFICE: ESAF Bhavan, Mammuthy, Thrissur - 680 651, Kerala.
GOLD AUCTION NOTICE
Notice is hereby given for the information of all concerned that Gold ornaments pledged with ESAF Small Finance Bank and not redeemed by borrowers, despite repeated reminders and notices, of our branches, are listed below. This will be auctioned as per the details given below:
DATE OF AUCTION: 24-02-2026 **TIME: 2pm to 5 pm**
AUCTION VENUE: Through e-Auction
AUCTION ADDRESS: <https://egold.auctiontiger.net>
Contact Number: 9099013705/6351896640
To register as bidder for the e-Auction with terms and conditions, and full details of e-Auction please visit the above site.
BRANCHES & LOAN ACCOUNT NUMBERS
TAMIL NADU: Anamalai: 75240005030317, 75250002090865, 2102465, Annur: 63250000051882, Coimbatore - R S Puram: 75240005023121, Coimbatore Trichy Road: 63250001683675, 75250000051785, Kunjyamuthur: 63250000050464, 7525000071226, 2109163, Masagoundenchettipalayam: 6325000166259, 1699115, Mettupalayam: 63250001667405, 7525000091378, 2114763, 2124204, Thudiyalur: 7525000202316, 2068718, 2081093, Vallamsaipatti: 63250001679633, 1691138, 75240005030905, 75250002103854, Bhuvanagiri: 75250000062953, 2043705, 2116679, 2128860, Gudalur: 7525000029567, 0030285, 0031433, 0037302, 0070418, 2032886, 2118865, Panruti: 75240005016334, 75250000054809, 2047358, Battagundu: 75250000045536, 2026218, 2055983, 2077891, Dindigul: 75250002029843, 2095366, Palani: 75240005028062, 5056598, 7525000022050, Anthiyur: 7525000072315, Elavamalai: 75250001692267, 75240005070841, Elumathur: 75250002071482, 2710191, Gopichettipalayam: 75250000086788, Sathyamangalam: 6325000048118, 75250002050352, 2070374, 2079717, Tirukoyilur: 75240005023021, 5023271, 75250002046390, 2063677, 2117327, 2118105, 2737940, Ulundurpettai: 75250000011341, 0021302, 2092472, 2129575, Kanchipuram: 75250002041489, 2081973, 2129125, Kattankulathur: 63240001706324, 1706504, 75240005024679, 5026165, 75250000010833, Keelkatalai: 75250002039644, Kovalam: 632500001694364, 1696810, 75250002095716, Madhurantakam: 75250000017200, 2035091, 2086054, Tirukalundur: 6325000017597, 0025442, 1680920, 75250000208023, 0068993, 2071602, 2124254, Uthiramerur: 63250001701553, 1701772, 75250000066736, 2024682, 2089840, Colachel: 75250002785578, Kulasekaram: 75250002109743, Nagercoil: 752500002070144, 2118845, 2152351, Thakkalai: 75250000042487, 0084737, Thiruparappu: 75250000058472, Nagapattinam: 75250000012229, Gudalur: 752500002108585, Manjoor-Salas: 63250001701173, 752500002114243, Ooty: 75250002130982, 2731821, 2742480, Thuneri: 63250000061783, Pudukkottai: 752400005038923, 75250002036099, 2118465, 2128096, Salem: 75240005021454, Alangulam: 75250002029323, 2052978, Puliankudi: 75250000013327, Thanjavur: 6325000058879, 75250002024032, 2038065, 2081843, 2714134, Andipatti: 75250002042237, 2068178, 2119574, Bodinayakanur: 7525000041488, Chinnamanur: 752400005019299, 75250000059970, Cumbum: 75250000535915, Mottanuthi: 75250000053221, Poomalikulunda: 63250000311954, Unjampatti: 75240005036316, 7525000033509, 2102315, Chennai-Villivakkam: 7525000072875, 0085400, Minjur: 63250001666907, 7525000054829, 0474808, 2066732, Arani: 75240005061878, 75250002035751, 2046910, 2077641, Thiruvannamalai: 75240005014811, 752500000204590, Kovilpatti: 75250002084427, Kanyakumari: 75250002051180, 2061701, Dharpapuram: 75250002107826, 2128356, Elayamuthur: 75250000030805, Kangeyam: 75240005033432, 752500000085140, 2097823, Udumalpettai: 75240005025557, Katpadi: 63240000084429, 63250001682775, Villupuram: 75250000017730, 2053186, 2058867, 2063387, 2089748, 2101087, 2101127, 2103844, 2107016, 2110778, 2127838, Aruppukottai: 75240005054692, 75250000041797, Mallankinaru: 75250002058277, Kariyampalayam: 75250000507094, 2743048, Sivaganga: 75250002030060, PUDUCHERY: 75250000029037, 2050882, 2060353.

Customers who are interested to release the ornaments by paying the total due amount may do so, at the respective branches, on or two days before the date of the auction. Bidders who wish to participate in the auction shall produce their KYC documents. GST No. is mandatory for registered firms/companies. Bidders shall deposit a sum of Rs.50,000 as EMD before participating in the auction. Sd/- Authorized Signatory Date: 17-02-2026

‘India’s AI edge lies in its ability to scale quickly’

TECH CONVERGENCE. We are creating a platform for builders and we see a massive match between India and Anthropic, says CTO Patil

bl.interview

Sanjana B
Bengaluru

In October 2025, Anthropic appointed Rahul Patil as its Chief Technology Officer (CTO). He spoke about India’s optimism around AI adoption, Anthropic’s differentiation in a competitive market, and how he sees the technology evolving in the years ahead.

Edited excerpts:

How does the user mix in India compare with global markets? Are you seeing stronger traction among enterprises and developers, or more direct consumer adoption?

Our second largest usage of Claude AI is in India, following the US. What’s unique about India is its optimism about AI. Several surveys said that 75 per cent of Indians expect AI to be largely beneficial. The intellectual openness here is unmatched compared to the rest of the world. Second is the technical talent. One in three developers joining GitHub each year is from India, un-

derscoring the country’s growing importance as a hub for builders.

At Anthropic, our position is twofold — we’re focused on productive work, matching what enterprises and businesses do. Meanwhile, we’re also building a platform designed for builders. This is where we see a massive match between India and Anthropic.

How does Anthropic differentiate itself from other AI players?

Our mindset, the unique partnerships, and how we’re thinking about India are our differentiators. We are hyper-focused on the product to work. For example, when people trained to be a first-principle thinker in physics, great at legal reasoning, or great at coding and problem-solving come together, these skills transfer to each other’s domains.

That’s why when people use Claude, they think it feels like a reasoning partner. This is even more important in India. We don’t invest in slop, entertainment videos, or do one-shot videos. Many other folks are focused on adult entertainment-type things, which are harmful be-



Several surveys say that 75 per cent of Indians expect AI to be largely beneficial. The intellectual openness here is unmatched compared to the rest of the world

RAHUL PATIL
CTO, ANTHROPIC



cause you’re teaching AI to be appealing and sycophantic. Do you want a model like that advising you on things that you use for good? So, we are making sure the AI is trained well. Second, we are builders and probably amongst the most ubiquitous in distribution. All our technologies are available through AWS, Google, Microsoft, and so enterprises use many platforms instead of just our first-party apps or services. So many of the systems and companies here are familiar with all these other clouds, and they find it accessible.

The last thing is our mindset and our partnerships. We’re announcing a series of

partnerships this week. Since Anthropic is for builders, we’ve made our platforms available at the core intelligence level, the agentic layer, the app level, the plugins layer, and so on.

Do you believe India has a strong AI talent pipeline, given concerns that university curricula may still be catching up with rapid advances in the field?

AI is evolving so rapidly that curricula risk becoming outdated within months. The advantage here is learning to learn. India has been preparing itself for a while and is good at scaling quickly. For instance, the co-

founders of Maya AI have built their own language models for the thousand unique dialects in India. Likewise, many people here are developing unique ideas that might be harder to conceive if you’re operating solely within Silicon Valley’s ecosystem. I see some good AI talent working on language stuff. The people here are entrepreneurial and think about the future. They think about unique use cases. Also, applied AI is where India may shine.

Following the recent sell-off in US software stocks after the Claude Cowork plugins launch — and the ripple effects seen in India — do you believe traditional SaaS and IT services companies can coexist and evolve alongside AI, or will the business models fundamentally shift?

The way to think about Cowork and its plugins is that they are helping people do specialised work faster. Earlier, people were wasting time moving paper and documents, and reviewing the same thing multiple times. Now, the things that they

want to contribute meaningfully and productively to are happening faster. In fact, more people are saying that they’re busier than before and are solving more interesting problems. I expect the trend to continue in many ways as people feel more productive. In some ways, it’s not even a new idea.

Some of the largest companies have already deployed Claude in all the different sectors. With that, healthcare, legal services, and financial services will become more accessible. You have to look at what these IT services provide. Each sector is going to advance in a meaningful way. And that’s where equipping folks with how to use AI well and responsibly will be a great thing for us.

Where do you see the future of AI going?

This year, security will have an interesting moment. In the next two to three years, interacting with the physical world will also gain traction. Another one is keyboard-less AI. Currently, our notion of AI is still chat and language-oriented. But soon, AI will be more present in everyday things that you use and interact with.

Anthropic inaugurates Bengaluru office, eyes partnerships in India

Our Bureau
Bengaluru



AI giant Anthropic officially opened its Bengaluru office, its first in India, and announced partnerships across enterprise, education and agriculture to deepen its commitment with the country.

The Bengaluru office — Anthropic’s second in Asia after Tokyo — is led by its India Managing Director Irina Ghose, an enterprise and start-up technology leader.

The office will focus on hiring local talent across roles such as solutions architect, applied AI and partner sales manager, among others.

India is the second-largest market for Claude ai, and nearly half of Claude usage in India comprises computer and mathematical tasks — building applications, modernising systems and shipping production software.

“India represents one of the world’s most promising opportunities to bring the benefits of responsible AI to vastly more people and enterprises,” said Ghose.

“Already, it’s home to extraordinary technical talent, digital infrastructure at scale, and a proven track record of using technology to improve people’s lives. That’s exactly the foundation you need to make sure this technology reaches the people who can benefit from it most.”

AI models continue to per-

form better in English than they do in other Indian languages.

Anthropic said six months ago, it launched a company-wide effort to narrow this gap by curating higher-quality training data in 10 of the most widely-spoken languages throughout India: Hindi, Bengali, Marathi, Telugu, Tamil, Punjabi, Gujarati, Kannada, Malayalam and Urdu. The company shared that this resulted in improvements to models, as it continues to work on enhancing the fluency.

OTHER ENDEAVOURS

Now, Anthropic is working with Karya and the Collective Intelligence Project to build evaluations testing performance on locally relevant tasks across domains such as agriculture and law, in partnership with domain experts from non-profits such as Digital Green and Adalat AI.

Anthropic intends to make the evaluations publicly available for others to use.

Digital trade not part of India-US interim deal, say officials

Amiti Sen
New Delhi

India is not negotiating commitments on digital trade in the upcoming interim trade agreement with the US, according to official sources. The matter has been deferred to negotiations for a full-fledged bilateral trade agreement (BTA) at a later date.

Commerce Secretary Rajesh Agrawal announced on Monday that India’s negotiating team, led by chief negotiator Darpan Jain, will visit Washington next week to finalise the legal text for the interim deal, which is expected to be signed in March 2026.

A key development expected this week is the reduction of US additional tariffs on In-

dian goods to 18 per cent.

“The 25 per cent punitive tariffs have already been removed, and the remaining 25 per cent is set to be reduced to 18 per cent,” Agrawal stated.

“We expect this to happen this week. If not, our team in Washington will pursue the matter with US officials next week to see why it is taking time.”

OFF THE TABLE?

Regarding digital trade, senior officials told *businessline* that neither a commitment to removal of Digital Services Taxes (DST) nor a permanent moratorium on customs duties for electronic transmissions are currently being discussed.

“There will be no negotiations on digital trade as part of the interim deal. These

New Delhi views the 18 per cent tariff rate as a significant win, positioning Indian exports more competitively than those from Bangladesh, Vietnam and Indonesia



LEVEL PLAYING FIELD. The 25 per cent punitive tariffs have already been removed, and the remaining 25 per cent is set to be reduced to 18 per cent, said Commerce Secretary Rajesh Agrawal

discussions may only commence as part of the BTA negotiations once the interim agreement is implemented,” an official clarified.

This remains a point of friction.

PROHIBIT DUTIES

A White House factsheet ori-

ginally claimed India would remove DSTs and agree to prohibit duties on electronic transmissions.

Those assertions were later retracted following a protest from New Delhi, which noted that such terms were absent from the agreed-

upon joint framework.

However, the amended US factsheet still suggests India is committed to negotiating rules against “discriminatory or burdensome” digital practices.

“The effort is to close and sign the legal agreement in

March 2026,” Agrawal said.

“While this is the goal, I am not setting a hard deadline because finalising legal intricacies requires a satisfactory resolution for both sides.”

New Delhi views the 18 per cent tariff rate as a significant win, positioning Indian exports more competitively than those from Bangladesh, Vietnam and Indonesia (19-20 per cent), and far ahead of China (over 32 per cent).

In exchange, India is expected to lower or eliminate import duties on most industrial products and various agricultural goods.

While the Commerce Department insists that sensitive sectors like dairy remain protected, some farmers’ organisations are calling for greater transparency regarding the concessions.

Atout France eyes AI, data tie-ups with Indian firms

Aneesh Phadnis
Mumbai



Adam Oubuih, CEO, Atout France

Atout France (French National Tourism Board) plans to collaborate with Indian companies and the public sector in AI, data and sustainability.

“We plan to discuss with Indian companies and the public sector how we can share data and use AI to achieve business growth and make travel seamless,” Atout France’s CEO Adam Oubuih said on Monday.

Atout France has leveraged AI for developing chatbots for customers and for

ners to develop more tools for tourism growth,” he said.

Oubuih, a former banker, took charge as CEO of Atout France last September. On his first India visit, he is engaging with local travel agents to drive partnerships.

France is the most-visited global destination with around 100 million annual tourists.

However, it is ranked fourth globally in tourism receipts. Of the total traffic, the share of Indian visitors in France remains low.

ENTICE VISITORS

On cards are plans to attract more Indian visitors to

France and increase earnings. “India is a priority market for us. We have strong ambitions for India,” Oubuih said. While the number of Indian visitors travelling to France is still to cross the 2019 level, the spend per tourist has increased.

The strategy for India now includes promoting destinations beyond Paris and attracting more high-spending visitors. Since 2024, Indian visitors can use UPI at Paris’ iconic Eiffel Tower and premier department store chain Galeries Lafayette. There is a plan to extend UPI coverage to more establishments, he said.

Reliance FMCG arm enters Nigeria with TGI Group JV

Our Bureau
Mumbai

Reliance Consumer Products (RCPL), the FMCG arm of Reliance Industries, has signed an agreement to form a majority-owned joint venture with Nigeria’s Tropical General Investments (TGI) Group, marking its entry into one of Africa’s largest consumer markets.

The partnership aims to expand RCPL’s global footprint by establishing a strong presence in Nigeria and strengthens its overseas

push after its expansion across West Asia, South Asia and parts of Africa.

RCPL will introduce a wide range of its fast-moving consumer goods portfolio to Nigerian consumers, leveraging TGI Group’s established manufacturing capabilities and extensive distribution network in the country. T. Krishnakumar, Director at RCPL, said TGI’s deep expertise and decades-long presence in FMCG, culinary and agribusiness sectors would be instrumental in scaling operations in the region.

IATA concerned over 9-month pause of freighter services at Mumbai airport

Aneesh Phadnis
Mumbai

The International Air Transport Association (IATA) has expressed concern over the planned nine-month suspension of freighter flights at Mumbai starting August.

Last December, Mumbai International Airport Ltd (MIAL) had informed airlines about its plans to temporarily suspend freighter operations from August this year to May 2027 in view of reconstruction of the apron that is used by cargo flights.

BIG CONCERN

Earlier, the Air Cargo Agents Association of India had expressed its reservations and now the airline lobby group too has expressed its concern on the temporary suspension of freighters at India’s second busiest airport.

“IATA wrote to MIAL at the end of January request-

ing for clarification as well as compliance with the Civil Aviation Ministry guidelines and the Worldwide Airport Slot Board’s best practices. We have yet to receive a response from MIAL,” a spokesperson said.

“We are concerned about the impact on operations at Mumbai airport, particularly cargo. Effective engagement by MIAL with industry stakeholders is critical,” he added.

FREIGHT MOVEMENT

The airport in December cited the need for immediate reconstruction of cargo apron “as it has reached the end of its operational life.”

However, in a fresh communication to airlines last week MIAL said the apron continues to remain suitable for operational use with an estimated residual service life of four years. However, it will carry on with its tem-

porary ban on freighters.

This is necessitated due to “simultaneous taxiway construction activities in close proximity to active airside movement areas and increased safety risk from mixed passenger and freighter movements under constrained conditions. MIAL said the decision to suspend freighter flights has been taken after exhaustive assessment of operational feasibility, safety requirements and available space.

Mumbai airport did not respond to email query.

However, earlier in December the airport had said only dedicated cargo flights will be suspended but overall cargo traffic (carried in belly space of passenger aircraft) will continue seamlessly. Navi Mumbai airport will play a key role in absorbing freighter operations during the construction phase, it had added.

‘India’s retail sector set to top ₹210 lakh crore by 2035’

Meenakshi Verma Ambwani
New Delhi

Indian retail market size is set to more than double to ₹210-215 lakh crore by 2035, from the ₹90-₹95 lakh crore in 2025, supported by India continuing to be one of the fastest growing economies in the world and a strong consumption momentum, a report released by BCG and Retailers Association of India stated.

While organised retail has historically outpaced the underlying category growth, this gap has recently narrowed, particularly in offline channels, signalling the need for sharper differentiation and operating model evolution.

Retailers will also need to embrace AI as a catalyst to fundamentally redesign the retail organisation, the report added.

The report noted that to



STRATEGIC SHIFT. Retailers will also need to embrace AI as a catalyst to fundamentally redesign the retail organisation, said the report.

succeed in India’s complex retail landscape, retailers must define clear focus segments, make deliberate trade-offs, and align business decisions to deliver a distinct core value proposition.

CONSUMER CHOICE

This recommendation comes at a time when consumer choice is becoming increasingly complex and context-driven across different

segments, with a greater demand for convenience and differentiation.

“India’s retail sector is poised to expand into a nearly ₹200 lakh crore opportunity over the next decade. More importantly — both offline and online operating cash flows are showing clear and sharp improvement. The winners of the future will have sharp differentiated value proposition, at

scale use of AI and technology and excellent execution,” said Abheek Singh, Managing Director and Senior Partner, BCG.

With India’s Internet adoption levels growing more than three times from 2016 levels, and high adoption elasticity for digital technologies, AI-led commerce is an emerging reality for India and is poised to scale rapidly.

MAJOR GAINS

“AI is transforming core retail functions, delivering major gains in speed, quality and cost. Functional AI transformation can unlock efficiency gains of 40-60 per cent versus 10-15 per cent from a use-case driven approach,” the report added.

“Retail is entering a decisive new phase where AI is no longer a peripheral experiment but a core driver of competitive advantage. Agentic commerce is already influencing how consumers discover, evaluate, and pur-

chase products globally. Given India’s strong digital adoption curve, we expect AI-led shopping journeys to accelerate rapidly in urban India, particularly among Gen-Z consumers. The bigger opportunity, however, lies beyond front-end experiences. Retailers that adopt an end-to-end AI-led functional transformation approach across merchandising, supply chain, marketing, and service,” added Bharat Mimani, Managing Director and Partner, BCG.

Kumar Rajgopalan, CEO, RAI, said that the next decade opportunity in retail sector will not be captured by sales growth alone. It will be captured by retailers that make explicit business model choices, embed AI across the shopper journey, leverage AI to power agent-led functions, and rebuild talent and operating models with sustained operational excellence,” he added.

